

ANNUAL REPORT
BAID MERCANTILES LIMITED
FINANCIAL YEAR – 2022-23

BAID MERCANTILES LTD.

58 Elliot Road, 2nd Floor, Kolkata – 700016

CIN: L70109WB1988PLC044591

Contact No.:8336989140

Website: www.baidmercantiles.com

Email Id: baidmercantiles1988@gmail.com

BOARD OF DIRECTORS

Mr. Jayesh Maitra Majumder – Chairman and Non-Executive Director

Mr. Binod Kumar Khandelwal – Managing Director

Mr. Akhilesh Prasad Shaw – Non Executive, Independent Director

Mrs. Sabita Khandelwal – CFO and Whole Time Director

Mr. Ashish Kumar Upadhyay - Non Executive, Independent Director

CHIEF FINANCIAL OFFICER

Mrs. Sabita Khandelwal

COMPANY SECRETARY

Ms. Jyoti Shaw

AUDIT COMMITTEE

Mr. Akhilesh Prasad Shaw - Chairman of the Committee and Independent Director

Mr. Ashish Kumar Upadhyay - Non Executive, Independent Director

Mr. Jayesh Maitra Majumder - Non – Executive Director

NOMINATION AND REMUNERATION COMMITTEE

Mr. Akhilesh Prasad Shaw - Chairman of the Committee and Independent Director

Mr. Ashish Kumar Upadhyay - Non Executive, Independent Director

Mr. Jayesh Maitra Majumder - Non – Executive Director

STAKEHOLDERS' RELATIONSHIP COMMITTEE

Mr. Akhilesh Prasad Shaw - Chairman of the Committee and Independent Director

Mr. Ashish Kumar Upadhyay - Non Executive, Independent Director

Mr. Jayesh Maitra Majumder - Non – Executive Director

STATUTORY AUDITORS

M/s Ranjit Jain & Co., Chartered Accountants

SECRETARIAL AUDITOR

Ms. Sweety Sharma, Practicing Company Secretary

REGISTRAR & SHARE TRANSFER AGENT

Niche Technologies Private Limited

3A, Auckland Place 7th Floor, Room No. 7A & 7B, Kolkata – 700017

BANKERS

Indian Overseas Bank

BAID MERCANTILES LTD
58 ELLIOT ROAD, 2ND FLOOR, KOLKATA-700016
CIN: L70109WB1988PLC044591

BOARD'S REPORT

To The Members,

Your Directors have pleasure in presenting their 35th Annual Report on the business and operations of the Company and the audited financial statements for the Financial Year ended March 31, 2023.

1. BACKGROUND

BAID MERCANTILES LTD ("Company") is a Non-Banking Financial Company incorporated under the Companies Act, 1956 and holds a certificate of registration from the Reserve Bank of India ("RBI") under section 45IA of the RBI Act, 1934. The Company is engaged in the business of providing loans and investments without accepting public deposits subject to the conditions stipulated in the RBI guidelines.

2. FINANCIAL SUMMARY OR HIGHLIGHTS/PERFORMANCE OF THE COMPANY

(Amount in Lacs)

Particulars	FINANCIAL YEAR ENDED	
	MARCH 31, 2023	MARCH 31, 2022
REVENUE FROM OPERATIONS	-	-
OTHER INCOME	18.07	18.00
I. TOTAL REVENUE	18.07	18.00
Change in Inventories of Stock in Trade	0.00	(0.01)
Employee Benefit Expenses	21.33	22.27
Other Expenses	3.58	9.09
II. TOTAL EXPENSES	24.91	31.36
III. EBIDT	(6.84)	(13.36)
Finance Costs	-	-
Depreciation & amortization Expenses	-	-
IV. PROFIT/(LOSS) BEFORE TAX	(6.84)	(13.36)
V. TAX EXPENSES:		
(1) Current Tax	2.59	-
(2) Deferred Tax	-	-
(3) Income Tax for Earlier Years	-	-
VI. PROFIT(LOSS) FOR THE PERIOD	(9.43)	(13.36)

3. BRIEF DESCRIPTION OF THE COMPANY'S WORKING DURING THE YEAR/STATE OF COMPANY'S AFFAIRS

During the year under review, Gross Revenue of the company has increased to Rs. 18.07 Lacs as compared to Rs. 18.00 Lacs in the previous year, representing an increase of 0.39%. Further, the loss for the period under the review has decreased from Rs. 13.36 in the previous Financial Year to Rs. 9.43 in the Current Financial Year under review.

4. CHANGE IN THE NATURE OF BUSINESS, IF ANY

There has been no change in the nature of the business or operational activities of the Company during the year under review.

5. DIVIDEND

No dividend has been declared by the Board of Directors for the Financial Year under review, in compliance to the provisions of the Companies Act, 2013.

6. TRANSFER TO RESERVES

The Company has not transferred any amount to the Reserve & Surplus.

7. SHARE CAPITAL

During the year under review, there has been no change in the Share Capital structure of the Company.

8. DETAILS OF SUBSIDIARY / JOINT VENTURES / ASSOCIATE COMPANIES

The company does not have any Subsidiary, Associates and Joint Ventures for which the reporting is required to be made according to the provisions of the Companies Act, 2013.

9. BOARD OF DIRECTORS AND KEY MANAGERIAL PERSONNEL

As on the date of this report, the Board of Directors of the Company consists of five Directors. There are two Executive Directors, one Non-executive Non-independent Director and two Non-executive Independent Directors.

In accordance with the provisions of the Companies Act, 2013, read with the Articles of Associations of the Company, Mr. Binod Kumar Khandelwal (DIN- 00710467), Managing Director of the Company, shall retire by rotation at the ensuing Annual General Meeting and being eligible, has offered himself for Re-appointment.

During the Financial Year under review, Mr. Anupam Ghosh resigned from the post of Company Secretary of the Company, with effect from October 27, 2022. Consequent to his resignation, the Board of Directors of the Company, based on the recommendation of the Nomination and Remuneration Committee, has appointed Ms. Jyoti Shaw as the Company Secretary of the Company with effect from November 14, 2022. Furthermore, Ms. Jyoti Shaw is the Compliance Officer of the Company in terms of Regulation 6(1) of SEBI (Listing Obligation and Disclosure Requirements) Regulations, 2015.

Declaration given by Independent Director(s) and Re-Appointment

The Company has received a declaration from all the Independent Directors of the Company declaring that they meet the criteria of Independence as provided in Section 149(6) of the Companies Act, 2013 read with the Schedules and Rules issued there under, as well as clause (b) of sub-regulation (1) of Regulation 16 of the Listing Regulations (including any statutory modification(s) or re-enactment(s) thereof for the time being in force). In terms of Regulation 25(8) of the Listing Regulations, the Independent Directors have confirmed that they are not aware of any circumstance or situation, which exists or may be reasonably anticipated, that could impair or impact their ability to discharge their duties with an objective independent judgment and without any external influence.

10. MEETINGS

During the Financial year ended March 31, 2023, 6 (Six) Board Meetings were held on 30.05.2022, 12.08.2022, 03.09.2022, 14.11.2022, 14.02.2023 and 30.03.2023. The Intervening gap between the Meetings was within the period prescribed under the Companies Act, 2013.

11. PARTICULARS OF EMPLOYEES

The Company has no employees getting remuneration as prescribed under Rule 5(2) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014 during the year under review.

12. POLICY ON APPOINTMENT OF DIRECTORS AND REMUNERATION POLICY OF THE COMPANY

The NRC develops the competency requirements of the Board based on the Industry and the strategy of the Company, conducts a gap analysis and recommends the reconstitution of the Board, as and when required. It also recommends to the Board, the appointment of Directors having good personal and professional reputation and conducts reference checks and due diligence of all Directors before recommending them to the Board. Besides the above, the NRC ensures that the new Directors are familiarized with the operations of the Company and endeavours to provide relevant training to the Directors.

The Remuneration Policy for Directors, Key Managerial Personnel ("KMP") and all other employees is aligned to the philosophy on the commitment of fostering a culture of leadership with trust.

The Remuneration Policy aims to ensure that the level and composition of the remuneration of the Directors, KMP and all other employees is reasonable and sufficient to attract, retain and motivate them to successfully run the Company.

13. BOARD EVALUATION

Pursuant to the provisions of the Companies Act, 2013, the Board has carried out an annual performance evaluation of its own performance, the directors individually as well as the evaluation of the working of the committees of the Board. The Board of Directors was assisted by the NRC. The performance evaluation was carried out by seeking inputs from all the Directors/Members of the Committees, as the case may be. The Directors expressed their satisfaction with the evaluation process.

The Independent Directors of the Company also had a separate meeting on March 30, 2023 to review the performance and evaluation of Non- Independent Directors and the Board as a whole.

14. STATUTORY AUDITORS

The Members of the Company, based on the recommendation of the Audit Committee of the Company, have appointed **M/s. Ranjit Jain & Co.**, Chartered Accountants, Kolkata, (Firm Registration No.:322505E), in Annual General Meeting held on September 2, 2021 as the Statutory Auditors of the Company for a period of five years, commencing from Financial Year 2021-22 till the conclusion of the Annual General Meeting of the Company to be held in the Financial Year 2025-26. During the Financial Year under review, there has been no change in the Statutory Auditors of the Company.

15. AUDITORS' REPORT

The notes on financial statement referred to in the Auditors' Report are self explanatory and do not require any further comments. The Auditors' Report does not contain any qualification, reservation or adverse remark.

16. SECRETARIAL AUDIT REPORT

Pursuant to the provisions of Section 204 of the Companies Act, 2013 and the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, the Board of Directors had appointed Ms. Sweety Sharma, Practising Company Secretary, to undertake the Secretarial Audit of the Company, for Financial Year 2022-23. The Secretarial Audit Report, in the prescribed **Form No. MR-3** is annexed to the Board Report. There are no qualifications, reservations, adverse remarks or disclaimers made by Ms. Sweety Sharma in her Secretarial Audit Report dated May 29, 2023 on the Secretarial and other related records of the Company, for Financial Year 2022-23.

17. INTERNAL FINANCIAL CONTROL SYSTEM

During the Financial year under review, the Company endeavored to improve the control environment, based on the suggestions and recommendations of the Audit Committee, Internal Auditors and Independent Directors.

The Internal Auditor monitors and evaluates the efficiency and adequacy of Internal Financial Control System in the Company, its compliance with operating systems, accounting procedures and policies. The Company has adequate Internal Financial Control System commensurate with its size and nature of the business.

18. COMMITTEES OF THE BOARD

A. Composition of Audit Committee ("AC")

The composition of the Audit Committee as on date of this Report is, given below:

Name of the Member(s)	Category
Mr. Akhilesh Prasad Shaw	Chairman and Independent Director
Mr. Ashish Kumar Upadhyay	Independent Director
Mr. Jayesh Maitra Majumder	Non – Executive Director

The composition of the Audit Committee is in line with the provisions of Section 177 of the Companies Act, 2013 and regulation 18 of SEBI (LODR), 2015 Regulations. All the Members of the committee have the ability to read and understand financial statements and have relevant finance and / or audit experience. The Committee met four times during the year under review on the following dates: 30th May 2022, 12th August 2022, 14th November 2022 and 14th February 2023. The meetings were attended by all the Members of the Committee.

B. Nomination & Remuneration Committee ("NRC")

The composition of the Nomination & Remuneration Committee as on date of this Report is, given below:

Name of the Member(s)	Category
Mr. Akhilesh Prasad Shaw	Chairman and Independent Director
Mr. Ashish Kumar Upadhyay	Independent Director
Mr. Jayesh Maitra Majumder	Non – Executive Director

The responsibilities of the NRC, inter alia, include:

- To formulate the criteria for determining qualifications, positive attributes and independence of a director and recommend to the Board, a policy relating to the remuneration for the directors, key managerial personnel and other employees;

- To review the performance of the Managing / Whole-Time / Executive Directors on predetermined parameters and approve the remuneration / compensation packages within prescribed limits;
- To identify persons who are qualified to become directors and who may be appointed in senior management in accordance with the criteria laid down and recommend to the Board, their appointment and removal and to carry out evaluation of every director's performance.

The Committee met once during the year under review on 14th November 2022. The meeting was duly attended by all the Members of the Committee. The Nomination and Remuneration Policy is available for members of the company for inspection at its registered office during the working hours of the company and copy of same will be sent to the member on request as per Section 136 of the Companies Act, 2013.

C. Stakeholders' Relationship Committee ("SRC")

The composition of the Stakeholders' Relationship Committee as on date of this Report is, given below:

Name of the Member(s)	Category
Mr. Akhilesh Prasad Shaw	Chairman and Independent Director
Mr. Ashish Kumar Upadhyay	Independent Director
Mr. Jayesh Maitra Majumder	Non – Executive Director

The responsibilities of the SRC, inter alia, are to consider and resolve the grievances /complaints of security holders of the Company. The Committee met once during the year under review on 14th February, 2023. The meeting was duly attended by all the Members of the Committee.

D. Vigil Mechanism

The Board has adopted the Vigil Mechanism, which also incorporates a Whistle Blower policy to promote report of any unethical or improper practice or violation of the Company's Code of Conduct or complaints regarding its accounting, auditing, internal control or disclosure practices. It gives platform to a Whistle Blower to report any unethical or improper practice (not necessary violation of Law) and to define processes for receiving and investigating complaints. The confidentiality of those reporting violations is maintained and they are not subject to any discriminatory practice. The Chairman of the Audit Committee is empowered to oversee the functioning of the Vigil Mechanism and Whistle Blower Policy.

19. RISK MANAGEMENT POLICY

The Risk Management Policy of the Board is set up to assist the Board in its oversight of various risks, analyze risk exposure related to specific issues and review the risk profile across the Company. The Charter of the Risk Management Policy is approved by the Board and lays down the risk management processes and controls.

20. NOMINATION AND REMUNERATION POLICY

The Company's policy relating to appointment of Directors, payment of Managerial Remuneration, Directors' qualifications, positive attributes of Independence of Directors and other related matters as provided under Section 178 (3) of the Companies Act, 2013 is attached as Annexure in this report. The Nomination and Remuneration Policy of the Company empowers the Nomination and Remuneration Committee to formulate a process for evaluating the performance of Individual Directors, Committees of the Board and the Board as a whole.

21. DETAILS OF SIGNIFICANT AND MATERIAL ORDERS PASSED BY THE REGULATORS / COURTS/TRIBUNALS IMPACTING THE GOING CONCERN STATUS AND THE COMPANY'S OPERATIONS IN FUTURE

There have been no significant and material orders passed by the Regulators or Courts or Tribunals impacting the going concern status and Company's operations in future.

22. MATERIAL CHANGES AND COMMITMENTS, IF ANY, AFFECTING THE FINANCIAL POSITION OF THE COMPANY WHICH HAVE OCCURRED BETWEEN THE END OF THE FINANCIAL YEAR OF THE COMPANY TO WHICH THE FINANCIAL STATEMENTS RELATE AND THE DATE OF THE REPORT

There have been no material changes and commitments, affecting the financial position of the Company, which have occurred between the end of Financial Year of the Company to which the Financial Statements relate and the date of the Report.

23. DEPOSITS

No Deposits were accepted by the Company during the Financial Year 2022-2023. Hence, no information is required to be appended to this report in terms of Non-Banking Financial Companies Acceptance of Public Deposits (Reserve Bank) Directions, 2016.

24. PARTICULARS OF LOANS, GUARANTEES AND INVESTMENTS UNDER SECTION 186 OF THE COMPANIES ACT, 2013

The Company being a Non-Banking Financial Company, provisions of Section 186 relating to loans, guarantees and investments are not applicable upon the Company.

25. PARTICULARS OF CONTRACTS OR ARRANGEMENTS WITH RELATED PARTIES:

During the Financial Year 2022-2023, no contracts/transactions/arrangements were undertaken with related parties, which were not at arm's length basis or would qualify as material transactions under the Companies Act, 2013 or the SEBI Listing Regulations, 2015. Accordingly, the disclosure in **Form AOC-2** is not required.

26. CORPORATE GOVERNANCE REPORT

Since the Company's Paid-up Share Capital is not exceeding Rupees Ten Crore and Net Worth not exceeding rupees Twenty Five Crore, Corporate Governance under Regulation 27 of the Securities and Exchange Board of India (Listings Obligations and Disclosures Requirements) Regulations, 2015 is not applicable on the Company.

27. MANAGEMENT DISCUSSION AND ANALYSIS REPORT

As per the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 a report on Management Discussion and Analysis Report is attached in Annexure to this Annual Report. The disclosure relating to Management Discussion and Analysis Report has been attached as **Annexure-I**.

28. DISCLOSURES UNDER SEXUAL HARASSMENT OF WOMEN AT WORKPLACE (PREVENTION, PROHIBITION AND REDRESSAL) ACT, 2013

The Company has adopted the policy on Redressal of Sexual and Workplace harassment as per the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 ("Sexual Harassment Act"). During the year under review, no case of sexual harassment was reported.

29. CONSERVATION OF ENERGY, TECHNOLOGY ABSORPTION, FOREIGN EXCHANGE EARNINGS AND OUTGO

The particulars of Conservation of Energy and Technology Absorption as required under Section 134(3)(m) of the Companies Act, 2013 read with the Companies (Accounts) Rules, 2014 are not applicable to the Company.

During the Financial Year-2022-23, there were no foreign exchange earnings and outgo.

30. CORPORATE SOCIAL RESPONSIBILITY (CSR)

As per section 135 of the Companies Act, 2013, the provisions of Corporate Social Responsibility do not apply to the Company.

31. MAINTENANCE OF COST RECORDS

The Company is not required to maintain Cost Records as specified by the Central Government under sub-section (1) of section 148 of the Companies Act, 2013.

32. COMPLIANCE OF ALL SECRETARIAL STANDARDS

The Directors have devised proper systems to ensure compliance with the provisions of all applicable Secretarial Standards and that such systems are adequate and operating effectively.

33. DIRECTORS' RESPONSIBILITY STATEMENT

The Directors' Responsibility Statement referred to in clause (c) of sub-section (3) of Section 134 of the Companies Act, 2013, shall state that—

(a) In the preparation of the Annual Financial Statement for the Financial Year ended March 31, 2023, the applicable accounting standards read with requirements set out under Schedule III to the Companies Act, 2013 and there are no material departures from the same.;

(b) The Directors had selected such accounting policies and applied them consistently and judgements and estimates have been made that are reasonable and prudent so as to give a true and fair view of the state of affairs of the Company as at March 31, 2023 and of the Profit / Loss of the company for that period.

(c) The Directors had taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of the Companies Act, 2013 for safeguarding the assets of the company and for preventing and detecting fraud and other irregularities;

(d) The Directors had prepared the accounts for the Financial Year ended March 31, 2022 on a 'going concern' basis;

(e) The Directors had laid down internal financial controls to be followed by the Company and that such internal financial controls are adequate and were operating effectively.

(f) The Directors had devised proper systems to ensure compliance with the provisions of all applicable laws and that such systems were adequate and operating effectively.

34. TRANSFER OF AMOUNTS TO INVESTOR EDUCATION AND PROTECTION FUND

The Company did not have any funds lying unpaid or unclaimed for a period of seven years.

Therefore there were no funds which were required to be transferred to Investor Education and Protection Fund (IEPF).

35. CODE OF CONDUCT

The Board of Directors has approved a Code of Conduct, which is applicable to the members of the Board and all Employees in the course of day-to-day business operations of the Company and all the board members have affirmed compliance with the applicable code of conduct.

36. ACKNOWLEDGEMENTS

The Board of Directors of the Company would like to place on record their gratitude for the valuable guidance and support received from RBI, SEBI, Registrar of Companies and other Government and Regulatory agencies and to convey their appreciation to its customers, bankers, vendors and all other business associates for the continuous support given by them to the Company. The Directors also place on record their appreciation for all the employees of the Company for the commitment, team work, professionalism and the resilience and dedication demonstrated by them.

FOR AND ON BEHALF OF THE BOARD OF DIRECTORS

***Place: Kolkata
Date: 29/05/2023***

***JAYESH MAITRA MAJUMDER
CHAIRMAN
(DIN: 02664850)***

ANNEXURE-I

MANAGEMENT DISCUSSION AND ANALYSIS REPORT

OVERVIEW

M/s. BAID MERCANTILES LIMITED is a NBFC–ND Non-Systematically Important Company registered with the Reserve Bank of India. The Company is actively engaged in the fund-based activities, providing loans and advances, Inter corporate deposits, Investment in shares & securities etc. Baid Mercantiles Limited services today are readily available to individuals, corporate and financial institutions.

1. INDUSTRY STRUCTURE AND DEVELOPMENTS

Non-banking Financial companies (NBFCs) have huge impact on Indian Financial system. NBFCs supplementing the role of the banking sector in meeting the increasing financial needs of the corporate sector, individual and MSMEs. The steps taken by the NBFCs for MSME sector fuelled by the government through its various schemes such as Emergency Credit Line Guarantee Scheme (ECLGS) program and Priority Sector Loans (PSL) loans among others.

Digital lending by Non-banking Financial companies (NBFCs) is one of the fastest-growing fintech segments in India. The regulatory and supervisory policies of the Reserve Bank ensuring regulation of entities, enhance consumers' convenience and expand the reach and quality of financial services. Credit assistance to MSME sector and ease of doing business facilities encouraged the youth at next level.

NBFC sector's loan in FY24 is expected to be growing by 13%. Further, NBFC-Retail sector Asset under Management is projected to grow at the rate of 12-14% in FY24.

2. OPPORTUNITIES AND THREATS

In recent years, the NBFCs have played crucial role in meeting the credit gap for many firms, micro and small units as well as individuals/small business owners and corporate sectors. NBFC enjoys the flexibilities in the privileges and rules that are provided by the government to grant loans and financial services to the people that have been an important aspect for the growth of the economy.

Our focus is to explore various areas of investment which provides growth and profitability to company. Company is continuously exploring various shares, securities, bonds and mutual funds for investment. Company is also analyzing various loan requests from individuals, MSMEs and corporates for their financial needs.

Nowadays, RBI has been tightening scrutiny of NBFC regulations. RBI's supervision department has been recently conducting examination and various surveys for licensing requirements for NBFCs and has also initiated action against non-compliances and cancellation of the Certificate of registration (CoR) for the same. The current regulatory guidelines mandate that only those companies with minimum net owned funds (NOF) of INR10 crore can commence the activities of NBFCs. The existing NBFCs-ICC, NBFCs-MFI

and NBFC-Factors are required to attain NOF of INR10 crore by March 2027 following a glide-path. During 2021-22, the number of registrations of NBFCs dipped marginally and the number of cancellations increased year-on-year. The pandemic led to a mushrooming of digital lenders as customers increasingly resorted to digital platforms for quick short-term loans. Several such NBFCs violated extant regulations and guidelines on outsourcing and Fair Practices Code (FPC) and faced cancellation of licenses.

Some of the other external threats are faced by NBFCs are:

1. credit risk,
2. liquidity risk and
3. interest rate risks

All these risks are continuously analysed and reviewed at various levels of management through an effective information system.

3. SEGMENT-WISE OR PRODUCT-WISE PERFORMANCE

During the year under review, Gross Revenue of the company has increased to Rs. 18.07 Lacs as compared to Rs. 18.00 Lacs in the previous year, representing an increase of 0.39%. Further, the loss for the period under the review has decreased from Rs. 13.36 in the previous Financial Year to Rs. 9.43 in the Current Financial Year under review.

4. OUTLOOK

The Outlook of the Company for the year ahead is to drive profitable growth of its business and improve its asset quality across its Financing and Investing Activities. The Company would be keenly focusing on key customer relationships. The Company, as a whole, will focus on balanced measured growth, asset quality, cross selling opportunities, digital and analytics.

5. RISKS AND CONCERNS

Risk Management is an integral part of the Company's business strategy with focus on building risk management culture across the organisation. The Risk Management oversight structure includes Committees of the Board and Senior Management Committees. The Risk Management process lays down comprehensive guidelines for Risk identification, assessment and monitoring as an ongoing process that is supported by a robust risk reporting framework. It entails establishment of robust systems and processes within the Enterprise Risk Management Framework to mitigate risks effectively.

6. INTERNAL CONTROL SYSTEMS AND THEIR ADEQUACY

The Company's internal control system is designed to ensure operational efficiency, protection and conservation of resources, accuracy and promptness in financial reporting and compliance with laws and regulations. The internal control system is

supported by an internal audit process for reviewing the design, adequacy and efficacy of the Company's internal controls, including its systems and processes and compliance with regulations and procedures. The Company's internal control system is commensurate with its size and the nature of its operations.

7. DISCUSSION ON FINANCIAL PERFORMANCE WITH RESPECT TO OPERATIONAL PERFORMANCE

The Company is turning profitable and the Net Losses have decreased on a year-to-year basis. The Financial Performance of the Company has been referred to Para 2 of the Board Report.

8. MATERIAL DEVELOPMENTS IN HUMAN RESOURCES/INDUSTRIAL RELATIONS FRONT,INCLUDING NUMBER OF PEOPLE EMPLOYED

The Company has embarked on its journey of "Happiness & Safety at the workplace" which has helped to look at employee engagement in a more holistic way. Further, the company has 4 employees during the period under review.



SWEETY SHARMA
PRACTICING COMPANY SECRETARY

Ref No.

Date.....

SECRETARIAL AUDIT REPORT
for the financial year ended 31st March, 2023

*[Pursuant to section 204(1) of the Companies Act, 2013 and Rule
No.9 of the Companies (Appointment and Remuneration Personnel)
Rules, 2014]*

SECRETARIAL AUDIT REPORT
for the financial year ended
31st March, 2023

To,
The Members,
Baid Mercantiles Ltd
58 Elliot Road, 2nd Floor
Kolkata – 700016

I have conducted the secretarial audit of the compliance of all the applicable statutory provisions and the adherence to good corporate practices by **Baid Mercantiles Limited** (hereinafter called the company). Secretarial Audit was conducted in a manner that provided me a reasonable basis for evaluating the corporate conducts/statutory compliances and expressing my opinion thereon.





SWEETY SHARMA

PRACTICING COMPANY SECRETARY

Ref No.

Date.....

Based on my verification of books, papers, minute books, forms and returns filed and other records maintained by the company and also the information provided by the Company, its officers, agents and authorized representatives during the conduct of secretarial audit,

I hereby report that in my opinion, the company has, during the audit period covering the financial year ended on **31st March, 2023** (Audit period) complied with the statutory provisions listed hereunder and also that the Company has proper Board processes and compliance mechanism in place to the extent, in the manner and subject to the reporting made hereinafter:

I have examined the books, papers, minute books, forms and returns filed and other record maintained by **Baid Mercantiles Ltd** ('the company') for the financial year ended on **31st March, 2023** according to the provisions of the following laws :

- (i) The Companies Act, 2013 (the Act) and the rules made thereunder;
- (ii) The Securities Contracts (Regulation) Act, 1956 ('SCRA') and the rules made thereunder;
- (iii) The Depositories Act, 1996 and the Regulations and Bye-laws framed thereunder;
- (iv) Foreign Exchange Management Act, 1999 and the rules and regulations made thereunder to the extent of Foreign Direct Investment, Overseas Direct Investment and External Commercial Borrowings; **(Not applicable to the Company during the Audit Period)**





SWEETY SHARMA

PRACTICING COMPANY SECRETARY

Ref No.

Date.....

(v) The following Regulations and Guidelines prescribed under the Securities and Exchange Board of India Act, 1992 ('SEBI Act') to the extent applicable to the Company :-

a) The Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011;
(Not applicable to the Company during the Audit Period)

b) The Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015;

c) The Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2009;
(Not applicable to the Company during the Audit Period)

d) The Securities and Exchange Board of India (Employee Stock Option Scheme and Employee Stock Purchase Scheme) Guidelines, 1999; **(Not applicable to the Company during the Audit Period)**

e) The Securities and Exchange Board of India (Issue and Listing of Debt Securities) Regulations, 2008; **(Not applicable to the Company during the Audit Period)**

f) The Securities and Exchange Board of India (Registrars to an Issue and Share Transfer Agents) Regulations, 1993 regarding the Companies Act and dealing with client;

g) The Securities and Exchange Board of India (Delisting of Equity Shares) Regulations, 2021; **(Not applicable to the Company during the Audit Period)**

h) The Securities and Exchange Board of India (Buyback of Securities) Regulations, 2018; **(Not applicable to the Company during the Audit Period)**





SWEETY SHARMA

PRACTICING COMPANY SECRETARY

Ref No.

Date.....

(vi) I further report that, having regards to compliance system prevailing in the Company and on examination of the Relevant documents and records in pursuance thereof the Company has complied with the following laws applicable specifically to the Company:

- Reserve Bank of India Act, 1934 and various (RBI) directions, Guidelines and Circulars as are applicable to Non-Deposit taking Non-Banking Financial Companies.

I have also examined compliance with the applicable clauses of the following:

- The company has generally complied with the provisions of Section 118(10) of the Companies Act, 2013 relating to Secretarial Standards issued by The Institute of Company Secretaries of India.
- The Securities and Exchange Board of India (Listing Obligations and Disclosures Requirement) Regulations, 2015. ***(Listing Agreement entered into by the Company with Calcutta Stock Exchange)***

During the period under review the Company has complied with the provisions of the Act, Rules, Regulations, Guidelines, Secretarial Standards, Listing Agreements etc. mentioned above.





SWEETY SHARMA

PRACTICING COMPANY SECRETARY

Ref No.

Date.....

I further report that

The Board of Directors of the Company is duly constituted with proper balance of Executive Directors, Non-Executive Directors and Independent Directors. The composition of the Board of Directors during the period under review was carried out in compliance with the provisions of the Act.

Adequate notice was given to all directors to schedule the Board Meetings, agenda and detailed notes on agenda were sent at least seven days in advance, and a system exists for seeking and obtaining further information and clarifications on the agenda items before the meeting and for meaningful participation at the meeting.

All decisions at Board Meetings and Committee Meetings were carried out unanimously. Majority decision is carried through while the dissenting members' views are captured and recorded as part of the minutes.

I further report that there are adequate systems and processes in the company commensurate with the size and operations of the company to monitor and ensure compliance with applicable laws, rules, regulations and guidelines.





SWEETY SHARMA

PRACTICING COMPANY SECRETARY

Ref No.

Date.....

I further report that during the audit period of the Company there was no specific events or actions took place that have a major bearing on the Company's affairs in pursuance of the above referred laws, rules, regulations, guidelines, standards etc., referred to above.

Place: Kolkata

Date: 29/05/2023

For SWEETY SHARMA

Sweety Sharma

PROPRIETOR

PRACTICING COMPANY SECRETARY

Membership No. ACS 35080

Certificate of practice No. 13098

UDIN: A035080E000402557



Note: *This report is to be read with the letter of even date which is Annexure A and forms an integral part of this report.*



SWEETY SHARMA
PRACTICING COMPANY SECRETARY

Ref No.

Date.....

'ANNEXURE A'

To,
The Members,
Baid Mercantiles Ltd
58 Elliot Road, 2nd Floor
Kolkata – 700016

My report of even date is to be read along with this letter.

1. Maintenance of secretarial record is the responsibility of the management of the Company. My responsibility is to express an opinion on these secretarial records based on my audit.
2. I have followed the audit practices and processes as were appropriate to obtain reasonable assurance about the correctness of the contents of the Secretarial records. The verification was done on test basis to ensure that contents facts are reflected in secretarial records. I believe that the processes and practices, followed by me provide a reasonable basis of my opinion.
3. I have verified the correctness and appropriateness of financial records and Books of Accounts of the Company.
4. Where ever required, I have obtained the Management representation about the compliance of laws, rules, and regulations and happenings of events etc.





SWEETY SHARMA

PRACTICING COMPANY SECRETARY

Ref No.

Date.....

5. The compliance of the provision of Corporate and other applicable laws, rules, regulations, standards is the responsibility of management. My examination was limited to the verification of procedures on test basis.
6. The Secretarial Audit report is neither an assurance as to the future viability of the Company nor of the efficacy or effectiveness with which the management has conducted the affairs of the Company.

Place: Kolkata

Date: 29/05/2023

For SWEETY SHARMA

Sweety Sharma

PROPRIETOR

PRACTICING COMPANY SECRETARY

Membership No. ACS 35080

Certificate of practice No. 13098

UDIN: A035080E000402557





INDEPENDENT AUDITORS' REPORT

To
The Members of
BAID MERCANTILES LIMITED

Report on the Audit of the Financial Statements

Opinion

We have audited the accompanying Ind AS Financial Statements of **BAID MERCANTILES LIMITED** ("the Company"), which comprise the Balance Sheet as at March 31, 2023, the Statement of Profit and Loss (including Other Comprehensive Income), the Statement of Changes in Equity and the Statement of Cash Flows for the year then ended, and notes to the Ind AS financial statements including a summary of significant accounting policies and other explanatory information (hereinafter referred to as "Ind AS financial statements").

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid Ind AS financial statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India including the Indian Accounting Standards ("Ind AS") prescribed under section 133 of the Act, of the state of affairs of the Company as at March 31, 2023, its Profit (including other comprehensive income), changes in equity and its cashflows for the year ended on that date.

Basis for opinion

We conducted our audit in accordance with the standards on auditing specified under section 143 (10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the auditor's responsibilities for the audit of the Financial Statements section of our report. We are independent of the Company in accordance with the code of ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the Financial Statements under the provisions of the Act and the rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the code of ethics.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on the Ind AS financial statements.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Ind AS Financial Statements of the current period. These matters were addressed in the context of our audit of the Ind AS Financial Statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.



Other Information

The Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Management Discussion and Analysis, Board's Report including Annexures to Board's Report, Report on Corporate Governance but does not include the Ind AS financial statements and our auditor's report thereon. The above mentioned other information are expected to be made available to us after the date of this auditor's report.

Our opinion on the Ind AS financial statements does not cover the other information and accordingly, we do not express any form of assurance conclusion thereon.

In connection with our audit of the Ind AS financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the Ind AS financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

When we read the other information, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Management's responsibility for the Financial Statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Act with respect to the preparation of these Ind AS financial statements that give a true and fair view of the financial position, financial performance (including other comprehensive income), changes in equity and cash flows of the Company in accordance with the accounting principles generally accepted in India, including Ind AS prescribed under section 133 of the Act, read with the Companies (Indian Accounting Standards) Rules, 2015, as amended. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the Ind AS financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the Ind AS financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those Board of Directors are also responsible for overseeing the Company's financial reporting process.

Auditor's responsibilities for the audit of the Ind AS Financial Statements

Our objectives are to obtain reasonable assurance about whether the Financial Statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an



audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Financial Statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Companies Act, 2013, we are also responsible for expressing our opinion on whether the company has adequate internal financial controls system in place and the operating effectiveness of such controls
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the Financial Statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the Financial Statements, including the disclosures, and whether the Financial Statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.



From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the Financial Statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order") issued by the Central Government of India in terms of section 143(11) of the Act, we report in "Annexure A", a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.
2. As required by Section 143(3) of the Act, we report that:
 - (a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
 - (b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books;
 - (c) The Balance Sheet, the Statement of Profit and Loss (including Other Comprehensive Income), the Statement of Changes in Equity and the Statement of Cash Flows dealt with by this report are in agreement with the books of account;
 - (d) In our opinion, the aforesaid Financial Statements comply with the Ind AS prescribed under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended;
 - (e) On the basis of the written representations received from the directors as on March 31, 2023 taken on record by the board of directors, none of the directors is disqualified as on March 31, 2023 from being appointed as a director in terms of Section 164 (2) of the Act;
 - (f) With respect to the adequacy of the internal financial controls over financial reporting of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure B".
 - (g) In our opinion and according to the information and explanations given to us, the remuneration paid by the Company to its directors during the year under report is in accordance with the provisions of Section 197 of the Act read with Schedule V to the Act.
3. With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us;
 - i. The Company does not have any pending litigations which would impact its Financial Statements;



- ii. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses; and
- iii. There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the Company.
- iv. (a) The Management has represented that, to the best of its knowledge and belief, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;

(b) The management has represented that, to the best of its knowledge and belief, no funds have been received by the Company from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;

(c) Based on the audit procedures that are considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e), as provided under (a) and (b) above, contain any material misstatement.
- v. The Company has not declared nor paid any dividend during the year. Hence, reporting the compliance with section 123 of the Act is not applicable.
- vi. Proviso to Rule 3(1) of the Companies (Accounts) Rules, 2014 for maintaining books of account using accounting software which has a feature of recording audit trail (edit log) facility is applicable to the Company with effect from April 1, 2023, and accordingly, reporting under Rule 11(g) of Companies (Audit and Auditors) Rules, 2014 is not applicable for the financial year ended March 31, 2023.

For RANJIT JAIN & CO.
Chartered Accountants
Firm Registration No. 322505E

CA. Rajiv Jain
Partner
Membership No. 061650
UDIN- 23061650BGULLF7398

Place: Kolkata
Date : 29th Day of May, 2023



Annexure -A to the Independent Auditors' Report

Referred to in paragraph 1 under the heading 'Report on Other Legal & Regulatory Requirement' of our report of even date to the Financial Statements of the Company for the year ended March 31, 2023:

Based on the audit procedures performed for the purpose of reporting a true and fair view on the Ind AS financial statements of the Company and taking into consideration the information, explanations and written representation given to us by the management and the books of account and other records examined by us in the normal course of audit, we report that:

- i. (a) (A) The Company had neither Property, Plant & Equipment as on 31st March 2023 nor at any time during the financial year ended 31st March 2023. Accordingly, reporting under clause 3(i)(a)(A) of the Order is not applicable to the Company.

(B) The Company does not have any Intangible Assets as on 31st March 2023 nor at any time during the financial year ended 31st March 2023. Accordingly, reporting under clause 3(i)(a)(B) of the Order is not applicable to the Company.
- (b) The Company had neither Property, Plant & Equipment as on 31st March 2023 nor at any time during the financial year ended 31st March 2023. Accordingly, reporting under clause 3(i)(b) of the Order is not applicable to the Company.
- (c) According to the information and explanation received by us, as the company owns no immovable properties. Accordingly the requirement on reporting whether title deeds of immovable properties held in the name of the company is not applicable.
- (d) The Company had neither Property, Plant and Equipment or intangible assets as on 31st March 2023 nor at any time during the financial year ended 31st March 2023. Accordingly, reporting under clause 3(i)(d) of the Order is not applicable to the Company.
- (e) According to the information and explanations given to us and on the basis of our examination of the records of the Company, no proceedings have been initiated or are pending against the Company for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and rules made thereunder.
- ii. (a) The management has conducted physical verification in respect of finished goods, stores, spare parts and raw materials at reasonable intervals. In our opinion the frequency of verification, coverage and procedure of such verification by the management is appropriate. No material discrepancies have been noticed on physical verification of stocks as compared to book records.
- (b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not been sanctioned any working capital limits from banks or financial institution on the basis of security of current assets during the financial year. Accordingly, reporting under clause 3(ii)(b) of the Order is not applicable to the Company.



- iii. (a) The Company is a Non-Banking Finance Company and its principal business is to give loans. Accordingly, the provision of clause 3(iii)(a) of the Order is not applicable to it.
- (b) The investments made by the Company during the year are not prejudicial to the interest of the Company. Further, the Company has not granted any loan or advances in the nature of loan and has not provided any guarantee during the year.
- (c) According to the information and explanations given to us and on the basis of our examination of the records of the Company, during the year the company has not provided any loans or advances in the nature of loans. Accordingly, reporting under clause 3(iii)(c) of the Order is not applicable to the Company.
- (d) According to the information and explanations given to us and on the basis of our examination of the records of the Company, during the year the company has not provided any loans or advances in the nature of loans. Accordingly, reporting under clause 3(iii)(d) of the Order is not applicable to the Company.
- (e) The Company is a Non-Banking Finance Company and its principal business is to give loans. Accordingly, the provision of clause 3(iii)(e) of the Order is not applicable to it.
- (f) In our opinion and according to the information and explanations given to us, the Company has not granted any loan or advances in the nature of loans to Promoters/Related Parties (as defined in section 2(76) of the Act)
- iv. According to the information and explanation given to us, the company has complied with requirements of section 185 and 186 in respect of loans, investments, guarantees or security made by it during the year under audit.
- v. The Company is a Non-Banking Finance Company registered with the Reserve Bank of India to which the provisions of sections 73 to 76 of the Act and the relevant rules made there under are not applicable. Accordingly, reporting under clause (v) of paragraph 3 of the Order is not applicable.
- vi. To the best of our knowledge and belief, the Central Government has not specified maintenance of cost records under sub-section (1) of Section 148 of the Act, in respect of Company's products/ services. Accordingly, the provisions of clause 3(vi) of the Order are not applicable.
- vii. (a) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company is generally regular in depositing undisputed statutory dues including Goods and Services Tax, provident fund, employees' state insurance, income-tax, sales-tax, service tax, duty of customs, duty of excise, value added tax, cess and any other statutory dues, as applicable, with the appropriate authorities. Further, no undisputed amounts payable in respect thereof were outstanding at the year-end for a period of more than six months from the date they became payable.



- (b) According to the information and explanations given to us and the records of the company examined by us, there are no dues in respect of Goods and Services Tax, provident fund, employees' state insurance, income-tax, sales-tax, service tax, duty of customs, duty of excise, value added tax, cess and any other statutory dues that have not been deposited with the appropriate authorities on account of any dispute.
- viii. According to the information and explanation given to us, company has no transactions, not recorded in the books of account have been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 (43 of 1961).
- ix. (a) The Company has not taken any loans or other borrowings from any lender during the year. Accordingly, reporting under clause 3(ix)(a) of the Order is not applicable to the Company.
- (b) According to the information and explanation provided to us, Company is not declared wilful defaulter by any bank or financial institution or other lender.
- (c) According to the records of the company, the company has not obtained any term loan hence, reporting under clause 3(ix)(c) of the Order is not applicable to the Company.
- (d) According to the information and explanations given to us, and the procedures performed by us, and on an overall examination of the financial statements of the company, we report that no funds has been raised on short-term basis by the company during the year. Accordingly, reporting under clause 3(ix)(d) of the Order is not applicable to the Company.
- (e) The Company did not have any subsidiary or joint venture during the year. According to the information and explanations give to us and on an overall examination of the financial statements of the company, we report that the company has not taken any funds from any entity or person on account of or to meet the obligations of its subsidiary/subsidiaries or associates.
- (f) The Company did not have any subsidiary or joint venture during the year. According to the information and explanations given to us and procedures applied by us, we report that the company has not raised loans during the year on the pledge of securities held in its subsidiary or associate company/companies.
- x. (a) According to the records of the company, The Company has not raised any money by way of initial public offer or further public offer including debt instruments) during the year. Accordingly, paragraph 3 (x)(a) of the order is not applicable.
- (b) According to the records of the company, The Company has not raised any money by way of preferential allotment or private placement of shares or convertible debentures (fully, partially or optionally convertible) during the year. Accordingly, paragraph 3 (x)(b) of the order is not applicable.



- xi. (a) During the course of our examination of the books and records of the company, carried out in accordance with the generally accepted auditing practices in India and according to the information and explanations given to us, we have neither come across any instance of fraud on or by the company, noticed or reported during the year, nor we have been informed of such case by the management.
- (b) According to the information and explanation given to us, no report under sub-section (12) of section 143 of the Companies Act has been filed by the auditors in Form ADT-4 as prescribed under rule 13 of Companies (Audit and Auditors) Rules, 2014 with the Central Government;
- (c) According to the information and explanation given to us, no whistle-blower complaints, received during the year by the company.
- xii. In our opinion and to the best of our information & explanations provided by the management, Company is not a Nidhi company, accordingly provisions of the Clause 3(xii) of the Order is not applicable to the company.
- xiii. According to the information and explanations given to us and based on our examination of the records of the company, transactions with the related parties are in compliance with section 177 and 188 of the Act. Where applicable, the details of such transactions have been disclosed in the IND AS Financial Statements as required by the applicable accounting standards.
- xiv. (a) In our opinion, the Company has an internal audit system commensurate with the size and nature of its business.
- (b) We have considered the Internal Audit Reports of the Company issued till date, for the period under audit.
- xv. According to the information and explanations given to us, we are of the opinion that the company has not entered into any non-cash transactions with directors or persons connected with him and accordingly, the provisions of clause 3(xv) of the Order is not applicable.
- xvi. (a) The Company is required to be registered under section 45-IA of the Reserve Bank of India Act, 1934 and the registration has been obtained by the Company.
- (b) The Company has not conducted any Non-Banking Financial or Housing Finance activities without having a valid Certificate of Registration (CoR) from the Reserve Bank of India as per the Reserve Bank of India Act, 1934.
- (c) the company is not a Core Investment Company (CIC) as defined in the regulations made by the Reserve Bank of India. Accordingly, the reporting under Clause 3(xvi)(c) of the Order is not applicable to the Company.
- (d) As informed by the Company, the Group to which the Company belongs has no CIC as part of the Group.



- xvii. the Company has incurred cash losses of Rs. 9.43 Lacs during the financial year and has incurred cash losses of Rs. 13.36 Lacs in the immediately preceding financial year.
- xviii. There has been resignation of the statutory auditors during the year, however, no issues, objections or concerns were raised by the outgoing auditors.
- xix. On the basis of the financial ratios, ageing and expected dates of realization of financial assets and payment of financial liabilities, other information accompanying the financial statements, our knowledge of the Board of Directors and management plans and based on our examination of the evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report indicating that company is incapable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the company.
- We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the company as and when they fall due.
- xx. The provisions of section 135 towards corporate social responsibility are not applicable on the company. Accordingly, the provisions of clause 3(xx) of the Order is not applicable
- xxi. The Company did not have any subsidiary, associate or joint venture during the year. Accordingly, reporting under clause 3(xxi) of the Order is not applicable to the Company.

For RANJIT JAIN & CO.
Chartered Accountants
Firm Registration No. 322505E

CA. Rajiv Jain
Partner
Membership No. 061650
UDIN- 23061650BGULLF7398

Place: Kolkata
Date : 29th Day of May, 2023



“Annexure B” to the Independent Auditor’s Report of even date on the Ind AS Financial Statements of BAID MERCANTILES LIMITED

Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 (“the Act”)

We have audited the internal financial controls over financial reporting of **BAID MERCANTILES LIMITED** (“the Company”) as of March 31, 2023 in conjunction with our audit of the Ind AS Financial Statements of the Company for the year ended on that date.

Management’s Responsibility for Internal Financial Controls

The Company’s management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company’s policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditors’ Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the “Guidance Note”) and the Standards on Auditing, issued by ICAI and deemed to be prescribed under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls, both applicable to an audit of Internal Financial Controls and, both issued by the Institute of Chartered Accountants of India. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor’s judgement, including the assessment of the risks of material misstatement of the Financial Statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company’s internal financial controls system over financial reporting.



Meaning of Internal Financial Controls Over Financial Reporting

A company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of Financial Statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of Financial Statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the Financial Statements.

Inherent Limitations of Internal Financial Controls Over Financial Reporting

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, the Company has, in all material respects, an adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as at March 31, 2023, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India.

For RANJIT JAIN & CO.
Chartered Accountants
Firm Registration No. 322505E

CA. Rajiv Jain
Partner
Membership No. 061650
UDIN- 23061650BGULLF7398

Place: Kolkata
Date : 29th Day of May, 2023

BAID MERCANTILES LIMITED**CIN: L70109WB1988PLC044591****Address: 58 Elliot Road, 2nd Floor, Kolkata - 700 016****Balance Sheet as at 31st March, 2023****(₹ in Lacs)**

		Note No.	As at 31.03.2023	As at 31.03.2022
	ASSETS			
1	FINANCIAL ASSETS			
a	Cash and Cash Equivalents	1	3.78	1.12
b	<u>Receivables:</u>			
	Trade Receivables	2	1.35	1.35
c	Investments	3	846.11	813.34
d	Other Financial Assets	4	1.16	1.16
2	NON FINANCIAL ASSETS			
a	Current Tax Assets (Net)	5	-	1.80
b	Investments	6	6.75	6.75
	Total Assets		859.15	825.52
	LIABILITIES AND EQUITY			
I	NON FINANCIAL LIABILITIES			
a	Current Tax Liabilities (Net)	7	0.79	-
b	Deferred Tax Liabilities (Net)	8	28.79	16.13
c	Other Non-Financial Liabilities	9	2.36	2.41
II	EQUITY			
a	Equity Share Capital	10	509.95	509.95
b	Other Equity	11	317.25	297.02
	Total Liabilities and Equity		859.15	825.52

Significant Accounting Policies : Note A & B

The accompanying notes are an integral part of the Financial Statements

As per our report of even date annexed

For Ranjit Jain & Co.

Chartered Accountants

Firm Registration No. 322505E

For and on behalf of the Board of Directors

CA. Rajiv Jain

Partner

Membership No. 061650

UDIN- 23061650BGULLF7398

Binod Kumar Khandelwal

(DIN 00710467)

Managing Director

Jayesh Maitra Majumder

(DIN 02664850)

Director

Place: Kolkata

Dated: 29th Day of May, 2023

Jyoti Shaw

(Company Secretary)

Sabita Khandelwal

(CFO & Director)

(DIN 07290866)

BAID MERCANTILES LIMITED**CIN: L70109WB1988PLC044591**

Address: 58 Elliot Road, 2nd Floor, Kolkata - 700 016

Statement of Profit and Loss for the year ended 31st March, 2023**(₹ in Lacs)**

	Particulars	Note No.	For the year ended 31.03.2023	For the year ended 31.03.2022
I	Revenue from Operations			
	Other Income	12	18.07	18.00
	Total Income - I		18.07	18.00
II	EXPENSES			
	Changes in Inventories of Finished Goods, Stock-In-Trade and Work-in-Progress	13	-	-
	Employee Benefits Expense	14	21.33	22.27
	Other Expenses	15	3.58	9.09
	Total Expenses		24.91	31.36
III	Profit/(Loss) before Exceptional Items and Tax (I - II)		(6.84)	(13.36)
IV	Exceptional Items		-	-
V	Profit/(Loss) before Tax (III - IV)		(6.84)	(13.36)
VI	Tax Expense:			
	Current Tax	16	2.59	-
	Deferred Tax		-	-
VII	Profit/(Loss) for the period from continuing operations (V - VI)		(9.43)	(13.36)
VIII	Profit/(loss) from discontinued operations		-	-
IX	Tax Expense of discontinued operations		-	-
X	Profit/(loss) from discontinued operations(After tax) (VIII-IX)		-	-
XI	Profit/(loss) for the period (VII+X)		(9.43)	(13.36)
XII	Other Comprehensive Income			
a.i	Items that will not be reclassified to profit or loss	17	42.32	56.24
a.ii	Income tax relating to items that will not be reclassified to profit or loss		(12.66)	(11.25)
	Other Comprehensive Income for the period (Net of Tax)		29.66	44.99
XIII	Total Comprehensive Income for the period (XI + XII)		20.23	31.63
XIV	Earnings Per Share	18		
i	Basic (Equity Share Face Value ₹ 10/- each)		(0.18)	(0.26)
ii	Diluted (Equity Share Face Value ₹ 10/- each)		(0.18)	(0.26)

Significant Accounting Policies : Note A & B

The accompanying notes are an integral part of the Financial Statements

As per our attached report of even date

For Ranjit Jain & Co.

Chartered Accountants

Firm Registration No. 322505E

For and on behalf of the Board of Directors

CA. Rajiv Jain
Partner
Membership No. 061650
UDIN- 23061650BGULLF7398

Binod Kumar Khandelwal
(DIN 00710467)
Managing Director

Jayesh Maitra Majumder
(DIN 02664850)
Director

Place: Kolkata
Dated: 29th Day of May, 2023

Jyoti Shaw
(Company Secretary)

Sabita Khandelwal
(CFO & Director)
(DIN 07290866)

BAID MERCANTILES LIMITED**CIN: L70109WB1988PLC044591**

Address: 58 Elliot Road, 2nd Floor, Kolkata - 700 016

Cash Flow Statement for the year ended 31st March, 2023

	2022-23 (₹ in Lacs)	2021-22 (₹ in Lacs)
A. CASH FLOW FROM OPERATING ACTIVITIES		
Net Profit Before Tax & Extraordinary Items	(6.84)	(13.36)
Adjustment for :		
Depreciation	-	-
Operating Profit before Working Capital Adjustment	(6.84)	(13.36)
Changes in Working Capital		
(Increase)/Decrease in Inventories	-	(0.01)
(Increase)/Decrease in Current Tax Asset	1.80	-
Increase/(Decrease) in Current Liabilities	-	(3.87)
Increase/(Decrease) in Current Tax Liabilities	0.79	-
Increase/(Decrease) in Other Non-Financial Liabilities	(0.05)	0.28
Cash Generated from Operation	(4.30)	(16.96)
Less: Payment of Taxes	2.59	1.80
Net cash flow from operating activities (A)	(6.89)	(18.76)
B. CASH FLOW FROM INVESTING ACTIVITIES		
Purchase of Investments	(106.00)	-
Proceeds from sale of Investments	115.55	17.00
Net cash realised from Investing Activities (B)	9.55	17.00
C. CASH FLOW FROM FINANCING ACTIVITIES		
Increase/(Decrease) in Borrowings	-	-
Net cash realised from financing activities (C)	-	-
Net increase/(Decrease) in cash and cash equivalent	2.66	(1.76)
Opening Cash & Cash Equivalent	1.12	2.88
Closing Cash & Cash Equivalent	3.78	1.12
CLOSING CASH & CASH EQUIVALENT		
Cash at Bank	3.43	0.77
Cash in Hand	0.35	0.35
	3.78	1.12
		-

The accompanying notes are an integral part of the Financial Statements.

As per our attached report of even date

For Ranjit Jain & Co.

Chartered Accountants

Firm Registration No. 322505E

CA. Rajiv Jain

Partner

Membership No. 061650

UDIN- 23061650BGULLF7398

Place: Kolkata

Dated: 29th Day of May, 2023

For and on behalf of the Board of Directors

Binod Kumar Khandelwal

(DIN 00710467)

Managing Director

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(DIN 02664850)

Director

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(Company Secretary)

Sabita Khandelwal

(CFO & Director)

(DIN 07290866)

BAID MERCANTILES LIMITED

CIN: L70109WB1988PLC044591

Address: 58 Elliot Road, 2nd Floor, Kolkata - 700 016

Statement of Change in Equity for the year ended 31st March, 2023**A. Equity Share Capital (₹ in Lacs)****(1) Current Reporting Period**

Balance at the beginning of the reporting period i.e. 1st April 2022	509.95
Changes in Equity Share Capital due to prior period errors	-
Restated Balance at the beginning of the Current Reporting Period	509.95
Changes in Equity Share Capital during the year	-
Balance at the end of the current reporting period i.e. 31st March 2023	509.95

(2) Previous Reporting Period

Balance at the beginning of the reporting period i.e. 1st April 2021	509.95
Changes in Equity Share Capital due to prior period errors	-
Restated Balance at the beginning of the Current Reporting Period	509.95
Changes in Equity Share Capital during the year	-
Balance at the end of the current reporting period i.e. 31st March 2022	509.95

B. Other Equity

(₹ in Lacs)

	Reserve Fund	General Reserve	Retained Earnings	Other Comprehensive Income Equity Instrument through Other Comprehensive Income	Total
Balance at the beginning of the reporting period i.e. 1st April 2021	45.35	117.17	24.81	78.06	265.39
Profit/(Loss) for the Year	-	-	(13.36)	44.99	31.63
Fair value change of Investments (net of deferred tax)	-	-	-	-	-
Transfer to/from Other Comprehensive Income	-	-	-	-	-
Transfer to/ (from) Retained Earnings	-	-	-	-	-
Balance at the end of the reporting period i.e. 31st March 2022	45.35	117.17	11.45	123.05	297.02

	Reserve Fund	General Reserve	Retained Earnings	Other Comprehensive Income	Total
Balance at the beginning of the reporting period i.e. 1st April 2022	45.35	117.17	11.45	123.05	297.02
Profit/(Loss) for the Year	-	-	(9.43)	29.66	20.23
Transfer to/ (from) Retained Earnings	-	-	-	-	-
Balance at the end of the reporting period i.e. 31st March 2023	45.35	117.17	2.02	152.71	317.25

The accompanying notes are an integral part of the Financial Statements

As per our Report annexed of even date

For Ranjit Jain & Co.

Chartered Accountants

Firm Registration No. 322505E

For and on behalf of the Board of Directors

CA. Rajiv Jain

Partner

Membership No. 061650

UDIN- 23061650BGULLF7398

Binod Kumar Khandelwal

(DIN 00710467)

Managing Director

Jayesh Maitra Majumder

(DIN 02664850)

Director

Place: Kolkata

Dated: 29th Day of May, 2023

Jyoti Shaw

(Company Secretary)

Sabita Khandelwal

(CFO & Director)

(DIN 07290866)

BAID MERCANTILES LIMITED

Notes to Standalone Financial Statements as on and for the year ended 31st March, 2023

A. CORPORATE INFORMATION

Baid Mercantiles Limited having its registered office at 58, Elliot Road 2nd Floor, Kolkata 700016 is a Non Banking Finance Company (Reg. with RBI) and is engaged in Loan Financing and Investment Shares and Securities.

B. SIGNIFICANT ACCOUNTING POLICIES

B.1 Basis of Preparation

The financial statements of the Company have been prepared to comply with the Indian Accounting standards ('Ind AS'), including the rules notified under the relevant provisions of the Companies Act, 2013.

The financial statements have been prepared on a historical cost convention on the accrual basis, except for the following assets and liabilities which have been measured at fair value.

- a. Certain financial assets at fair value (refer accounting policy regarding financial instruments).

The financial statements are presented in Indian Rupees (₹ in Lakhs).

B.2 Summary of Significant Accounting Policies

a) Impairment of non-current assets

An asset is considered as impaired when at the date of Balance Sheet there are indications of impairment and the carrying amount of the asset or where applicable the cash generating unit to which the asset belongs exceeds its recoverable amount (i.e. the higher of the net asset selling price less cost to sell and value in use). The carrying amount is reduced to the recoverable amount and the reduction is recognised as an impairment loss in the statement of Profit and Loss. The impairment loss recognised in the prior accounting period is reversed if there has been a change in the estimate of recoverable amount. Post impairment, depreciation is provided on the revised carrying value of the impaired asset over its remaining useful life.

b) Cash and Cash equivalents

Cash and cash equivalent in the balance sheet comprise cash at banks, cash in hand and short-term deposits with an original maturity of three months or less, which are subject to an insignificant risk of changes in value.

For the purpose of the statement of cash flows, cash and cash equivalents consist of cash and short-term deposits, as defined above, net of outstanding bank overdrafts as they are considered an integral part of the Company's cash management.

c) Employee Benefits

Payment of Gratuity Act is not applicable to the company as numbers of employees are less than the minimum required for applicability of Gratuity Act.

d) Tax Expenses

The tax expense for the period comprises of current and deferred tax. Tax is recognised in Statement of Profit & Loss, except to the extent that it relates to items recognised in the comprehensive income or directly in equity respectively. In which case, the tax is also recognised in other comprehensive income or equity.

Current Tax

Current tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities, based on tax rates and laws that are enacted or substantively enacted at the balance sheet date.

BAID MERCANTILES LIMITED

Notes to Standalone Financial Statements as on and for the year ended 31st March, 2023

Deferred Tax

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit.

Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period. The carrying amount of deferred tax liabilities and assets are reviewed at the end of each reporting period.

e) Financial Instruments – Initial recognition, subsequent measurement and impairment

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equally instrument of another entity.

Financial Assets Initial Recognition and Measurement

All financial assets are recognised initially at fair value plus, in the case of financial assets not recorded at fair value through profit or loss, transaction costs that are attributable to the acquisition of the financial asset. Financial assets are classified, at initial recognition, as financial assets measured at fair value or as financial assets measured at amortised cost.

Financial Assets – Subsequent Measurement

For the purpose of subsequent measurement financial assets are classified in two broad categories:-

- a) Financial Assets at fair value
- b) Financial assets at amortised cost

Where assets are measured at fair value, gains and losses are either recognised entirely in the statement of profit and loss (i.e. fair value through profit or loss) or recognised in other comprehensive income (i.e. fair value through other comprehensive income)

A financial asset that meets the following two conditions in measured at amortised cost (net of any write down for impairment) unless the asset is designated at fair value through profit or loss under the fair value option.

- a) Business Model Test: The objective of the Company's business model is to hold the financial asset to collect the contractual cash flow (rather than to sell the instrument).
- b) Cash Flow Characteristics Test: The contractual terms of the financial asset give rise on specified dates to cash flow that are solely payments of principal and interest on the principal amount outstanding.

A financial asset that meets the following two conditions is measured at fair value through other comprehensive income unless the asset is designated at fair value through profit or loss under the fair value option.

- a) Business Model Test: The financial asset is held within a business model whose objective is achieved by both collecting contractual cash flow and selling financial assets.
- b) Cash Flow characteristics Test: The contractual terms of the financial asset give rise on specified dates to cash flow that are solely payments of principal and interest on the principal amount outstanding.

BAID MERCANTILES LIMITED

Notes to Standalone Financial Statements as on and for the year ended 31st March, 2023

Even if an instrument meets the two requirements to be measured at amortised cost or fair value through other comprehensive, a financial asset is measured at fair value through profit or loss if doing so eliminates or significantly reduces a measurement or recognition inconsistency (sometimes referred to as an accounting mismatch) that would otherwise arise from measuring assets or liabilities or recognising the gains and losses on them on different bases. All other financial assets are measured at fair value through profit or loss.

All equity instruments are measured at fair value in the balance sheet, with value changes recognised through other comprehensive income, except for those equity instruments for which the entity has elected to present value changes in the statement of profit and loss.

Financial Assets – De-recognition

A financial asset (or where applicable, a part of a financial asset or part of a group of similar financial assets) is primarily derecognised (i.e. removed from the Company's statement of financial position) when:

- a) The rights to receive cash flows from the asset have expired or
- b) The Company has transferred its rights to receive cash flow from the asset or has assumed an obligation to pay the received cash flow in full without material delay to a third party under a pass-through arrangement and either i) the company has transferred substantially all the risks and rewards of the asset, or ii) the company has neither transferred nor retained substantially all the risks and rewards of the assets, but has transferred control of the asset.

When the company has transferred its rights to receive cash flow from an asset or has entered into a pass-through arrangement, it evaluates if and to what extent it has retained the risks and rewards of ownership. When it has neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Company continues to recognise the transferred to recognise the transferred asset to the extent of the Company's continuing involvement. In that case, the company also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Company has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying of the asset and the maximum amount of consideration that the company could be required to repay.

Financial Liabilities – Initial Recognition and Measurement

The financial liabilities are recognised initially at fair value and in the case of loans and borrowings and payables, net of directly attributable transaction costs. The Company's financial liabilities include trade and other payable, loans and borrowings including bank overdrafts.

Financial Liabilities – Subsequent Measurement

The measurement of financial liabilities depends on their classification, as described below:

Financial liabilities at fair value through profit or loss

Financial Liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss.

Gains or losses on liabilities held for trading are recognised in the statement of profit and loss. Financial liabilities designated upon initial recognised at fair value through profit or loss are designated at the initial date of recognition and only if the criteria in Ind AS 109 as satisfied.

BAID MERCANTILES LIMITED

Notes to Standalone Financial Statements as on and for the year ended 31st March, 2023

Financial Liabilities – Loans and Borrowings

After initial recognition, interest bearing loans and borrowings are subsequently measured at amortised cost using Effective Interest Rate (EIR) Method. Gains and losses are recognised in profit and loss when the liabilities are de-recognition as well as through the EIR amortisation process. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation includes as finance costs in the statement of profit and loss.

Financial Liabilities – De-recognition

A financial liability is de-recognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another, from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the de-recognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the statement of profit and loss.

f) Revenue Recognition and Other Income

Sale of Shares & Securities

Income from Sale of Shares is recognised on the date of transaction.

Interest income

For all financial instruments measured at amortised cost, interest income is recorded using the effective interest rate (EIR). EIR is the rate that exactly discounts the estimated future cash payments or receipts over the expected life of the financial instrument or a shorter period, where appropriate to the net carrying amount of the financial asset. Interest income is included in the other income in the statement of profit and loss.

g) Provisions, contingent liabilities, contingent assets and commitments

Provisions are recognised when the company has a present obligations (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligations and a reliable estimate can be made of the amount of the obligations. If the effect of the time value of money is material, provisions are discounted using equivalent period government securities interest rate. Unwinding of the discount is recognised in the statement of Profit and loss as a finance cost. Provisions are reviewed at each balance sheet date and are adjusted to reflect the current best estimate.

Contingent liabilities are disclosed when there is a possible obligation arising from past events, the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the company or a present obligation that arises from past events where it is either not probable that an outflow of resources will be required to settle or a reliable estimate of the amount cannot be made. Information on contingent liability is disclosed in the Notes to be Financial Statements.

Contingent assets are not recognised. However when the realisation of income is virtually certain, then the related asset is no longer a contingent asset, but it is recognised as an asset.

h) Current and Non-current Classification

A liability is classified as current when it is :

- a) Expected to be settled in normal operating cycle
- b) Held primarily for the purpose of trading
- c) Due to be settled within twelve months after the reporting period or
- d) There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period

BAID MERCANTILES LIMITED

Notes to Standalone Financial Statements as on and for the year ended 31st March, 2023

All other liabilities are classified as non-current

The operating cycle is the time between the acquisition of assets for processing and their realisation in cash or cash equivalents. Deferred tax assets and liabilities are classified as non-current assets and liabilities. The company has identified twelve months as its normal operating cycle.

i) Fair Value Measurement :

The company measures financial instruments at fair value at each balance sheet date.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either.

- a) In the principal market for the asset or liability or
- b) In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible by the company. The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of non-financial asset takes into account a market participants ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole.

- a) Level 1 – Quoted (unadjusted) market prices in active markets for identical assets or liabilities.
- b) Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable.
- c) Level 3 – Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognised in the financial statements on a recurring basis, the company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

j) Offsetting Financial Instruments

Financial assets and liabilities are offset and the net amount is reported in the balance sheet where there is a legally enforceable rights to offset the recognised amounts and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously. The legally enforceable rights must not be contingent on future events and must be enforceable in the normal course of business and in the event of default, insolvency or bankruptcy of the company or counterparty.

BAID MERCANTILES LIMITED

Notes to Standalone Financial Statements as on and for the year ended 31st March, 2023

B.3 Significant Accounting Judgement, Estimates and Assumptions

The preparation of the financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets, and liabilities and the accompanying disclosures, and the disclosure of contingent liabilities. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future period. The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The company based its assumptions and estimates on parameters available when the financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising that are beyond the control of the company. Such changes are reflected in the assumptions when they occur.

Contingencies

Management has estimated the possible outflow of resources at the end of each annual reporting period, if any, in respect of contingencies / claim / litigations against the company as it is not possible to predict the outcome of pending matters with accuracy.

Impairment of Financial Assets

The impairment provisions for financial assets are based on assumptions about risk of default and expected loss rates. The Company uses judgement in making these assumptions and selecting the inputs to the impairment calculation, based on Company's past history, existing market conditions as well as forward looking estimates at the end of each reporting period.

Impairment of Non-Financial Assets

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Company estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or Cash Generating Units (CGU) fair value less costs of disposal and its value in use. It is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent to those from other assets or groups of assets. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less cost of disposal recent market transactions are taken into account. If no such transactions can be identified, an appropriate valuation model is used. These calculations are corroborated by valuation multiples or other available fair value indicators.

Fair Value Measurement of Financial Instruments

When the fair value of financial assets and financial liabilities recorded in the balance sheet cannot be measured based on quoted prices in active markets, their fair value is measured using valuation techniques including the Discounted Cash flow (DCF) model. The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgement is required in establishing fair values. Judgements include considerations of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions about these factors could affect the reported fair value of financial instruments.

BAID MERCANTILES LIMITED**CIN: L70109WB1988PLC044591****Notes on Financial Statements for the year ended 31st March, 2023**

	<u>As at</u> <u>31.03.2023</u> <u>(₹ in Lacs)</u>	<u>As at</u> <u>31.03.2022</u> <u>(₹ in Lacs)</u>
1		
<u>Cash and Cash Equivalents</u>		
i Cash in hand	0.35	0.35
ii Balances with Banks -- In Current Accounts	3.43	0.77
	<u>3.78</u>	<u>1.12</u>
2		
<u>Receivables</u>		
i <u>Trade Receivables</u>		
a <u>Receivables considered good - Unsecured</u>		
From Others	1.35	1.35
b Receivables which have significant increase in Credit Risk	-	-
Total - Gross	<u>1.35</u>	<u>1.35</u>
Less: Impairment loss allowance	-	-
Total - Net	<u>1.35</u>	<u>1.35</u>
# For Ageing schedule - Note No 19		
4		
<u>Other Financial Assets</u>		
a Inventories (as per Annexure A)	1.16	1.16
	<u>1.16</u>	<u>1.16</u>
5		
<u>Current Tax Assets (Net)</u>		
Balance with Revenue Authorities	-	1.80
	<u>-</u>	<u>1.80</u>
6		
<u>Investments</u>		
In Jewellery	6.75	6.75
	<u>6.75</u>	<u>6.75</u>

BAID MERCANTILES LIMITED**CIN: L70109WB1988PLC044591****Notes on Financial Statements for the year ended 31st March, 2023**

			<u>As at</u> <u>31.03.2023</u>		<u>As at</u> <u>31.03.2022</u>
3 <u>Investments</u>	<u>FV</u> <u>(Rs)</u>	<u>No. of</u> <u>Shares / Units</u>	<u>(₹ in Lacs)</u>	<u>No. of</u> <u>Shares / Units</u>	<u>(₹ in Lacs)</u>
<u>At fair value through other comprehensive income</u>					
<u>Mutual Fund</u>					
<u>(Quoted, Non Trade Investments)</u>					
ICICI Prudential All Seasons Bond Fund - Direct Plan - Growth		10,74,829.570	352.67	10,74,829.570	330.84
ICICI Prudential Equity & Debt Fund - Direct Plan - Growth		40,308.298	105.33	-	-
IDFC Corporate Bond Fund Direct Plan-Growth		-	-	6,56,699.658	105.34
UTI Short Term Income Fund - Direct Growth Plan		13,79,985.670	388.11	14,09,590.371	377.17
Total		24,95,123.538	846.11	31,41,119.599	813.34
i Investment outside India		-	-	-	-
ii Investment in India		24,95,123.538	846.11	31,41,119.599	813.34
Total II		24,95,123.538	846.11	31,41,119.599	813.34
 Less: Allowance for Impairment Loss		-	-	-	-
Total Net IV = I - III		24,95,123.538	846.11	31,41,119.599	813.34
 Cost of quoted investments			731.69		734.34
Cost of unquoted investments			-		-
Aggregate cost of investments			<u>731.69</u>		<u>734.34</u>

BAID MERCANTILES LIMITED**CIN: L70109WB1988PLC044591****Notes on Financial Statements for the year ended 31st March, 2023**

		As at 31.03.2023 (₹ in Lacs)	As at 31.03.2022 (₹ in Lacs)
7	<u>Current Tax Liabilities</u>		
	Income Tax Payable	0.79	-
		<u>0.79</u>	<u>-</u>
8	<u>Deferred Tax Liabilities (Net)</u>		
	Financial assets - Investments at FVTOCI	28.79	16.13
		<u>28.79</u>	<u>16.13</u>
9	<u>Other Non-Financial Liabilities</u>		
	Statutory Dues Payable	0.07	0.18
	Income Tax Payable	-	0.01
	Payable to Staff	1.67	1.82
	Liabilities for Expenses	0.63	0.41
		<u>2.36</u>	<u>2.41</u>
11	<u>Other Equity</u>		
a	<u>Reserve Fund</u>		
	Balance at the beginning of the year	45.35	45.35
	Addition during the year	-	-
	Balance at the at the end of the year	<u>45.35</u>	<u>45.35</u>
b	<u>General Reserve</u>		
	Balance at the beginning of the year	117.17	117.17
	Addition during the year	-	-
	Balance at the at the end of the year	<u>117.17</u>	<u>117.17</u>
c	<u>Retained Earnings</u>		
	Balance at the beginning of the year	11.46	24.81
	Fair value change of Investments (net of deferred tax)	-	-
	Restated balance at the beginning of the year	11.46	24.81
	Profit / (Loss) for the year	(9.43)	(13.36)
	Profit / (Loss) for Earlier year	-	-
	Transfer to Reserve Fund	-	-
	Balance at the at the end of the year	<u>2.02</u>	<u>11.46</u>
d	<u>Other Comprehensive Income</u>		
	Balance at the beginning of the year	123.05	78.06
	Addition during the year	29.66	44.99
	Fair Value of Investments adjusted	-	-
	Balance at the at the end of the year	<u>152.71</u>	<u>123.05</u>
	Total Other Equity (a+b+c+d)	<u>317.25</u>	<u>297.02</u>

BAID MERCANTILES LIMITED**CIN: L70109WB1988PLC044591****Notes on Financial Statements for the year ended 31st March, 2023****10 Equity Share Capital**

	2022-23		2021-22	
	<u>No. of Shares</u>	<u>(₹ in Lacs)</u>	<u>No. of Shares</u>	<u>(₹ in Lacs)</u>
a <u>Authorised Share Capital</u>				
Ordinary Equity Shares of ₹ 10/- each with voting rights	55,00,000	550.00	55,00,000	550.00
	55,00,000	550.00	55,00,000	550.00
b <u>Issued Share Capital</u>				
Ordinary Equity Shares of ₹ 10/- each with voting rights	50,99,520	509.95	50,99,520	509.95
	50,99,520	509.95	50,99,520	509.95
c <u>Subscribed and Paid-up Share Capital</u>				
Ordinary Equity Shares of ₹ 10/- each with voting rights	50,99,520	509.95	50,99,520	509.95
	50,99,520	509.95	50,99,520	509.95

d Reconciliation of the number of shares at the beginning and at the end of the year

<u>Equity Shares</u>	2022-23		2021-22	
	<u>No. of Shares</u>	<u>(₹ in Lacs)</u>	<u>No. of Shares</u>	<u>(₹ in Lacs)</u>
At the beginning of the year	50,99,520	509.95	50,99,520	509.95
Issued during the year	-	-	-	-
Outstanding at the end of the year	50,99,520	509.95	50,99,520	509.95

e Rights Attached to the Shares

The company has only one class of shares having par value of ₹ 10/- per share. Each holder of equity shares is entitled to one vote per share.

f Details of the Shareholder holding shares more than 5 %

Name of the Shareholder	As at 31st March 2023		As at 31st March 2022	
	No. of Shares	% of holding	No. of Shares	% of holding
N.P. Agarwala & Others (HUF)	301520	5.91%	301520	5.91%
Kiran Devi Agarwala	835300	16.38%	835300	16.38%

BAID MERCANTILES LIMITED**CIN: L70109WB1988PLC044591****Notes on Financial Statements for the year ended 31st March, 2023****g) Details of Promoters holding shares at the end of the year**

Shares held by Promoters as at 31.03.2023				<u>% Changes during the year</u>
S.No.	Promoter Name	No of Shares	% of Total Shares	
1	Kiran Devi Agarwala	8,35,300	16.38%	-
2	N.P. Agarwala & Others (HUF)	3,01,520	5.91%	-
3	Nirmaldeep Resources Ltd	27,300	0.54%	-
	Total	11,64,120	22.83%	-

Shares held by Promoters as at 31.03.2022				<u>% Changes during the year</u>
S.No.	Promoter Name	No of Shares	% of Total Shares	
1	Kiran Devi Agarwala	8,35,300	16.38%	-
2	N.P. Agarwala & Others (HUF)	3,01,520	5.91%	-
3	Nirmaldeep Resources Ltd	27,300	0.54%	-
	Total	11,64,120	22.83%	-

BAID MERCANTILES LIMITED**CIN: L70109WB1988PLC044591****Notes on Financial Statements for the year ended 31st March, 2023**

	<u>2022-23</u> (₹ in Lacs)	<u>2021-22</u> (₹ in Lacs)
12 Other Income		
Interest on Income Tax Refund	0.07	-
Consultancy Fees	18.00	18.00
	<u>18.07</u>	<u>18.00</u>
13 Changes in Inventories of Stock-In-Trade		
Opening Stock in trade	1.16	1.16
Less: Transfer to Investment	-	-
	<u>1.16</u>	<u>1.16</u>
Less: Closing Stock in trade	1.16	1.16
	<u>-</u>	<u>-</u>
14 Employee Benefits Expense		
Salaries and Allowances	21.33	22.27
	<u>21.33</u>	<u>22.27</u>
15 Other Expenses		
Rates & Taxes	0.03	0.03
<u>Payment to Auditors</u>		
For Statutory Audit	0.25	0.30
Advertisement Charges	0.17	0.21
Professional Fees	1.34	0.92
Listing & Connectivity Fee	1.29	0.66
Income Tax for Earlier Year	0.01	1.91
Penalty Charges	-	5.00
Miscellaneous Expenses	0.49	0.07
	<u>3.58</u>	<u>9.09</u>
16 Tax Expenses		
<u>Current Tax</u>		
Provision for Income Tax	2.59	-
	<u>2.59</u>	<u>-</u>
17 Other Comprehensive Income		
<u>Items that will not be reclassified to profit or loss</u>		
Fair value change of Investments	33.75	56.24
Tax expense on the above	(12.66)	(11.25)
	<u>21.09</u>	<u>44.99</u>
18 Earning per Shares		
Nominal Value of Equity Shares (₹)	10.00	10.00
a) Profit / (Loss) for the period	(9.43)	(13.36)
b) Weighted Average Number of Equity Shares	50,99,520	50,99,520
Basic EPS (a/b)	(0.18)	(0.26)
c) Weighted Average Number of Equity Shares	50,99,520	50,99,520
Diluted EPS (a/c)	(0.18)	(0.26)

BAID MERCANTILES LIMITED

CIN: L70109WB1988PLC044591

Notes on Financial Statements for the year ended 31st March, 2023

NOTE - 19**Trade Receivable Ageing Schedule**

Particulars	Outstanding for following periods from due date of payment					(₹ in Lacs)
	Less than 6months	6months- 1 year	1-2 years	2-3 years	More than 3 years	Total
	31.03.2023	31.03.2023	31.03.2023	31.03.2023	31.03.2023	31.03.2023
i) Undisputed Trade Receivables - Considered good	1.35	-	-	-	-	1.35
ii) Undisputed Trade Receivables - which have significant increase in credit risk	-	-	-	-	-	-
iii) Undisputed Trade Receivables - Credit Impaired	-	-	-	-	-	-
iv) Disputed Trade Receivable -Considered good	-	-	-	-	-	-
v) Disputed Trade Receivable - which have significant increase in credit risk	-	-	-	-	-	-
vi) Disputed Trade Receivables - Credit Impaired	-	-	-	-	-	-

Trade Receivable Ageing Schedule

Particulars	Outstanding for following periods from due date of payment					(₹ in Lacs)
	Less than 6months	6months- 1 year	1-2 years	2-3 years	More than 3 years	Total
	31.03.2022	31.03.2022	31.03.2022	31.03.2022	31.03.2022	31.03.2022
i) Undisputed Trade Receivables - Considered good	1.35	-	-	-	-	1.35
ii) Undisputed Trade Receivables - which have significant increase in credit risk	-	-	-	-	-	-
iii) Undisputed Trade Receivables - Credit Impaired	-	-	-	-	-	-
iv) Disputed Trade Receivable -Considered good	-	-	-	-	-	-
v) Disputed Trade Receivable - which have significant increase in credit risk	-	-	-	-	-	-
vi) Disputed Trade Receivables - Credit Impaired	-	-	-	-	-	-

BAID MERCANTILES LIMITED

CIN: L70109WB1988PLC044591

Address: 58 Elliot Road, 2nd Floor, Kolkata - 700 016

Notes on Financial Statements for the year ended 31st March, 2023

20 CAPITAL MANAGEMENT

For the purpose of the Company's capital management, capital includes issued equity capital and all other equity reserves attributable to the equity holders of the Company. The primary objective of the Company's capital management is to maximise the shareholder value.

The Company manages its capital structure and makes adjustments in light of changes in economic conditions and the requirements of the financial covenants. To maintain or adjust the capital structure, the Company may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares. The Company monitors capital using a gearing ratio, which is net debt divided by total capital plus net debt.

The gearing ratio at end of the reporting period was as follows:

(₹ in Lacs)

Particulars	As at 31.03.2023	As at 31.03.2022
Gross Debt	-	-
Cash and Marketable Securities	3.78	1.12
Net Debt (A)	-3.78	-1.12
Total Equity (As per Balance Sheet) (B)	827.20	806.97
Net Gearing (A/B)	-	-

21 FINANCIAL INSTRUMENTS

i Valuation

All financial instruments are initially recognized and subsequently re-measured at fair value as described below:

- The fair value of investment in quoted Equity Shares is measured at quoted price or NAV or cost as available with the management.
- The fair value of the remaining financial instruments is determined using discounted cash flow analysis.

Fair Valuation Measurement Hierarchy:

(₹ in Lacs)

Particulars	As at 31.03.2023			As at 31.03.2022		
	Carrying Amount	Level of input used in		Carrying Amount	Level of input used in	
		Level 1	Level 2		Level 1	Level 2
Financial Assets						
At Amortised Cost						
Cash and Cash Equivalents	3.78		-	1.12		-
Bank balances other than Cash and Cash Equivalents	-		-	-		-
Trade Receivables	1.35		-	1.35		-
Loans	-	-	-	-	-	-
Investments	-		-	-		-
Other Financial Assets	1.16		-	1.16		-
At FVTOCI						
Derivative Financial Instruments	-		-	-		-
Investments	846.11		-	813.34		-
Other Financial Assets	-		-	-		-
Financial Liabilities						
At Amortised Cost						
Payables						
Trade Payables						
- total outstanding dues of micro enterprises and small enterprises	-	-	-	-	-	-
- total outstanding dues of creditors other than micro enterprises and small enterprises	-	-	-	-	-	-
Other Payables						
- total outstanding dues of micro enterprises and small enterprises	-	-	-	-	-	-
- total outstanding dues of creditors other than micro enterprises and small enterprises	-	-	-	-	-	-
Borrowings (Other than Debt Securities)						
Deposits						
Other Financial Liabilities						
At FVTPL						
Derivative Financial Instruments	-	-	-	-	-	-

Note:

Level 1 : Level 1 hierarchy includes financial instruments measured using quoted prices. This includes listed equity instruments, mutual funds, bonds that have quoted price. The fair value of all equity instruments which are traded in the stock exchanges is valued using the closing price as at the reporting period.

Level 2 : The fair value of financial instruments that are not traded in an active market is determined using book value calculated on the basis of latest audited financial statements as available with the management or are valued at cost as no information is available with the management.

ii **Foreign Currency Risk : N.A.**

iii **Interest Rate Risk:**

The following table shows exposure of the Company's borrowings to interest rate changes at the end of the reporting period:

(₹ in Lacs)

Particulars	As at 31.03.2023	As at 31.03.2022
Term Loans from Bank	-	-
Loan repayable on demand from Bank	-	-
Loan repayable on demand from Others	-	-
Total	-	-

iv **Credit Risk:**

Credit risk is the risk that a customer or counterparty to a financial instrument fails to perform or pay the amounts due, causing financial loss to the company. Credit risk arises from company's activities in investments and outstanding receivables from customers.

The Company has a prudent and conservative process for managing its credit risk arising in the course of its business activities. Dues from customers to whom sales are made on credit are generally recovered within credit days allowed to the customer.

Following provides exposure to credit risk for trade receivables:

(₹ in Lacs)

Particulars	As at 31.03.2023	As at 31.03.2022
Trade Receivables	1.35	1.35
Other Receivables	-	-
Total	1.35	1.35

v **Liquidity Risk:**

Liquidity risk arises from the Company's inability to meet its cash flow commitments on time. Prudent liquidity risk management implies maintaining sufficient stock of cash and marketable securities (₹ 3.78 Lacs as on 31st March 2023, ₹ 1.12 Lacs as on 31st March 2022). Company accesses financial markets to meet its liquidity requirements.

The Company's liquidity is managed centrally with operating units forecasting their cash and liquidity requirements. Treasury pools the cash surpluses from across the different operating units and then arranges to either fund the net deficit or invest the net surplus in the market.

BAID MERCANTILES LIMITED

CIN: L70109WB1988PLC044591

Address: 58 Elliot Road, 2nd Floor, Kolkata - 700 016

Notes on Financial Statements for the year ended 31st March, 2023

22 Maturity Analysis of Assets and Liabilities

The table below shows an analysis of assets and Liabilities according to when they are expected to be recovered or settled:-

(₹ in Lacs)

		As at 31.03.2023			As at 31.03.2022		
		Upto 12 months	More than 12 months	Total	Upto 12 months	More than 12 months	Total
	ASSETS						
1	FINANCIAL ASSETS						
a	Cash and Cash Equivalents	3.78	-	3.78	1.12	-	1.12
b	Bank balances other than Cash and Cash Equivalents	-	-	-	-	-	-
c	Derivative Financial Instruments	-	-	-	-	-	-
d	Receivables:						
i	Trade Receivables	1.35	-	1.35	1.35	-	1.35
e	Loans	-	-	-	-	-	-
f	Investments	846.11	-	846.11	813.34	-	813.34
g	Other Financial Assets	1.16	-	1.16	1.16	-	1.16
2	NON FINANCIAL ASSETS						
a	Current Tax Assets (Net)	-	-	-	1.80	-	1.80
b	Deferred Tax Assets (Net)	-	-	-	-	-	-
c	Investments	-	6.75	6.75	-	6.75	6.75
d	Other Intangible Assets	-	-	-	-	-	-
e	Other Non- Financial Assets	-	-	-	-	-	-
	Total Assets	852.40	6.75	859.15	818.77	6.75	825.52
		As at 31.03.2023			As at 31.03.2022		
		Upto 12 months	More than 12 months	Total	Upto 12 months	More than 12 months	Total
	LIABILITIES						
2	NON FINANCIAL LIABILITIES						
a	Current Tax Liabilities (Net)	0.79		0.79	-		-
b	Deferred Tax Liabilities (Net)	-	28.79	28.79	-	16.13	16.13
c	Other Non-Financial Liabilities	2.36	-	2.36	2.41	-	2.41
	Total Liabilities	3.15	28.79	31.94	2.41	16.13	18.54

BAID MERCANTILES LIMITED

CIN: L70109WB1988PLC044591

Address: 58 Elliot Road, 2nd Floor, Kolkata - 700 016

Notes to Financial Statements for the year ended 31st March, 2023

(₹ in Lacs)

23 Other Regulatory Information

- i) There are no Immovable properties held by the company.
- ii) The company has no Property, Plant and Equipment during the year.
- iii) The company has not granted Loans or Advances in the nature of Loans to Promoters, directors, KMPs and the related parties.
- iv) The Company does not have any Benami property, where any proceeding has been initiated or pending against the Company for holding any Benami property.
- v) The Company does not have any borrowings from banks or financial institutions on the basis of Current Assets and has not been declared a wilful defaulter by any bank or financial institution or other lender.
- vi) The Company does not have any transactions with struck off companies.
- vii) The Company has not taken any Secured Loan/ Term Loan during the year under review or in the preceding previous year.
- viii) The Company have not traded or invested in Crypto currency or Virtual Currency during the financial year.
- ix) The Company do not have any subsidiary company as defined under clause (87) of section 2 of the Companies Act 2013.
- x) The Company have not advanced or loaned or invested funds to any other person(s) or entity(ies), including foreign entities (Intermediaries) with the understanding that the Intermediary shall:
 - a. directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company (Ultimate Beneficiaries), or
 - b. provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries
- xi) The Company have not received any fund from any person(s) or entity(ies), including foreign entities (Funding Party) with the understanding (whether recorded in writing or otherwise) that the Company shall:
 - a. directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries), or
 - b. provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
- xii) The Company have not any such transaction which is not recorded in the books of accounts that has been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 (such as, search or survey or any other relevant provisions of the Income Tax Act, 1961.
- xiii) Disclosures under Section 186(4) of the Companies Act 2013 - NIL

24 Disclosure of Analytical Ratios*

Ratio		Numerator	Denominator
(a)	Capital to risk-weighted assets ratio (CRAR)	0	0
(b)	Tier I CRAR	0	0
(c)	Tier II CRAR	0	0
(d)	Liquidity Coverage Ratio	0	0

* NOT APPLICABLE

BAID MERCANTILES LIMITED

NOTES ON FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH, 2023

25 The Company has complied with the prudential norms as per NBFC's (Reserve Bank) Directions 1998 with regard to Income Recognition, Assets Classification, Accounting Standard and Provision for Bad & Doubtful Debts as applicable to it. Schedule in terms of Paragraph 13 of Non-Banking Financial (Non-Deposit Accepting or Holding) Companies Prudential Norms (Reserve Bank) Directions, 2007 is annexed hereto separately.

26 **Related Party Disclosure** :

Related party disclosures are given below:

Key Management Personnel (KMP) :

Mr. Binod Kumar Khandelwal (Managing Director)
Mrs. Sabita Khandelwal (Director & CFO)
Mr. Annupam Ghosh (Company Secretary, resigned on 27.10.2022)
Ms. Jyoti Shaw (Company Secretary, Appointed on 14.11.2022)

b) Transaction with Related Parties

(₹ in Lacs)

Name of the Party	Relationship	Nature of Transaction	Volume of Transaction		Outstanding as on	
			2022-23	2021-22	31.03.2023	31.03.2022
Binod Kumar Khandelwal	Managing Director	Remuneration	11.30	12.47	0.94	0.93
Sabita Khandelwal	CFO	Remuneration	1.20	1.20	0.10	0.10
Annupam Ghosh	Company Secretary	Remuneration	3.51	3.74	--	0.47
Saloni Sharma (resigned on 06.07.2021)	Company Secretary	Remuneration	--	1.28	--	--
Jyoti Shaw	Company Secretary	Remuneration	1.92	--	0.33	--

27 Management has determined that there were no balances outstanding as at the beginning of the year and no transactions entered with Micro, Small and Medium Enterprises as defined under Micro, Small and Medium Enterprises Development Act, 2006, during the current year, based on the information available with the Company as at March 31, 2023.

28 Previous Year figures have been regrouped and/or rearranged wherever considered necessary.

As per our report of even date.

For Ranjit Jain & Co.

Chartered Accountants

Firm Registration No. 322505E

CA. Rajiv Jain

Partner

Membership No. 061650

UDIN- 23061650BGULLF7398

For and on behalf of the Board of Directors

Binod Kumar Khandelwal
(DIN 00710467)

Managing Director

Jayesh Mitra Majumdar
(DIN 02664850)

Director

Place: Kolkata

Dated: 29th Day of May, 2023

Jyoti Shaw
(Company Secretary)

Sabita Khandelwal
(CFO & Director)

BAID MERCANTILES LIMITED

CIN: L70109WB1988PLC044591

Notes on Financial Statements for the year ended 31st March, 2023

ANNEXURE - A

INVENTORIES

At Historical Cost or Market Value whichever is lower

Shares (Quoted) Fully Paid up

	<u>2022-23</u>		<u>2021-22</u>	
	<u>Qty.</u>	<u>(₹ in Lacs)</u>	<u>Qty.</u>	<u>(₹ in Lacs)</u>
Bala Techno Global Limited	60000	1.14	60000	1.14
Checons Limited	700	0.01	700	0.01
Varanasi Commercial Limited	800	0.01	800	0.01
Total	61500	1.16	61500	1.16

BAID MERCANTILES LTD.

Annexure to the Balance sheet of a Non - Deposit taking Non-Banking Financial Company[as required in terms of paragraph 13 of Non Systematically Important Non-Banking Financial (Non Deposit Accepting or Holding) Companies Prudential Norms (Reserve Bank) Directions, 2015]

(₹ in lacs)

	Particulars		
	<u>Liabilities Side :</u>		
(1)	Loans and advances availed by the NBFC inclusive of interest accrued thereon but not paid :	Amount Outstanding	Amount Overdue
	(a) Debentures : Secured	Nil	Nil
	: Unsecured	Nil	Nil
	(Other than falling within the meaning of public deposits)		
	(b) Deferred Credits	Nil	Nil
	(c) Term Loans	Nil	Nil
	(d) Inter-corporate loans and borrowing	Nil	Nil
	(e) Commercial Paper	Nil	Nil
	(f) Other Loans	Nil	Nil
	Assets side		
		Amount Outstanding	
(2)	Break-up of Loans and Advances including bills receivables [Other than those included in (4) below] :		
	(a) Secured		Nil
	(b) Unsecured		Nil
(3)	Break up of Leased Assets and stock on hire and hypothecation loans counting towards AFC activities :		
	(i) Lease assets including lease rentals under sundry debtors.		
	(a) Financial Lease		Nil
	(b) Operating Lease		Nil
	(ii) Stock on hire including hire charges under sundry debtors :		
	(a) Assets on hire		Nil
	(b) Repossessed Assets.		Nil
	(iii) Other loans counting towards AFC activities		
	(a) Loans where assets have been repossessed		Nil
	(b) Loans other than (a) above		Nil

BAID MERCANTILES LTD.

Annexure to the Balance sheet of a Non - Deposit taking Non-Banking Financial Company[as required in terms of paragraph 13 of Non Systematically Important Non-Banking Financial (Non Deposit Accepting or Holding) Companies Prudential Norms (Reserve Bank) Directions, 2015]

(₹ in lacs)

(4)	Break - up of Investments :	
-----	-----------------------------	--

Current Investments :		
1 <u>Quoted</u> :		
(i) Shares :	(a) Equity	1.16
	(b) Preference	Nil
(ii) Debentures and Bonds		Nil
(iii) Units of Mutual funds		Nil
(iv) Government Securities		Nil
(v) Others		Nil
2 <u>Unquoted</u> :		
(I) Shares :	(a) Equity	Nil
	(b) Preference	Nil
(ii) Debentures and Bonds		Nil
(iii) Units of Mutual funds		Nil
(iv) Government Securities		Nil
(v) Others		Nil

<u>Long Term Investment :</u>		
1 <u>Quoted :</u>		
(i) Share :	(a) Equity	Nil
	(b) Preference	Nil
(ii) Debentures and Bonds		Nil
(iii) Units of mutual funds		846.11
(iv) Government Securities		Nil
(v) Others		Nil
2 <u>Unquoted :</u>		
(i) Shares :	(a) Equity	Nil
	(b) Preference	Nil
(ii) Debentures and Bonds		Nil
(iii) Units of Mutual funds		Nil
(iv) Government Securities		Nil
(v) Others		6.75

(5)	Borrower group-wise classification of assets financed as in (2) and (3) above			
		Amount net of provisions		
		Secured	Unsecured	Total
	1. Related Parties			
	(a) Subsidiaries	Nil	Nil	Nil
	(b) Companies in the same group	Nil	Nil	Nil
	(c)Other related parties	Nil	Nil	Nil
	2. Other than related parties	Nil	Nil	Nil
	Total	Nil	Nil	Nil

BAID MERCANTILES LTD.

Annexure to the Balance sheet of a Non - Deposit taking Non-Banking Financial Company[as required in terms of paragraph 13 of Non Systematically Important Non-Banking Financial (Non Deposit Accepting or Holding) Companies Prudential Norms (Reserve Bank) Directions, 2015]

(₹ in lacs)

(6)	Investor group-wise classification of all investments (current and long term) in shares and securities (both quoted and unquoted) :		
	Category	Market Value / Break up or fair value or NAV	Book Value (Net of Provisions)
	1. Related Parties		
	(a) Subsidiaries	Nil	Nil
	(b) Companies in the same group	Nil	Nil
	(c) Other related parties	Nil	Nil
	2. Other than related parties		
	Quoted Shares	846.11	731.69
	Unquoted Shares	Nil	Nil
	Total	846.11	731.69
(7)	Other Information		
	Particulars		Amount
	(i)	Gross Non-Performing Assets	0.00
		(a) Related parties	-
		(b) Other than related parties	0.00
	(ii)	Net Non-Performing Assets	-
		(a) Related parties	-
		(b) Other than related parties	-
	(iii)	Assets acquired in satisfaction of debt	Nil

For Ranjit Jain & Co.

Chartered Accountants

Firm Registration No. 322505E

For and on behalf of the Board of Directors

CA. Rajiv Jain

Partner

Membership No. 061650

UDIN- 23061650BGULLF7398

Binod Kumar Khandelwal

(DIN 07710467)

Managing Director

Jayesh Mitra Majumdar

(DIN 02664850)

Director

Place: Kolkata

Dated: 29th Day of May, 2023

Jyoti Shaw

(Company Secretary)

Sabita Khandelwal

(CFO & Director)

(DIN 07290866)

BAID MERCANTILES LTD.

58 Elliot Road, 2nd Floor, Kolkata – 700016

CIN: L70109WB1988PLC044591

Contact No.:8336989140

Website:www.baidmercantiles.com

Email Id: baidmercantiles1988@gmail.com

ANNEXURE TO THE NOTICE FOR THE 35TH ANNUAL GENERAL MEETING OF THE COMPANY TO BE HELD ON MONDAY, 18TH DAY OF SEPTEMBER, 2023

Name & Registered Address
of Sole/First named Member :

Joint Holders Name (If any) :

Folio No. / DP ID & Client ID :

No. of Equity Shares Held :

Dear Shareholder,

Subject: Process and manner for availing E-voting facility:

Pursuant to Provisions of Section 108 of the Companies Act, 2013, Rule 20 of the Companies (Management and Administration) Rules, 2014 as amended by the Companies (Management and Administration) Amendment Rules, 2015 and Regulation 44 of the SEBI (Listing Obligations and Disclosure Requirements) Rules 2015, the Company is pleased to provide E-voting facility to the members to cast their votes electronically on all resolutions proposed to be considered at the Annual General Meeting (AGM) to be held on Monday, 18th Day of September, 2023 at 04:00 P.M. at it Registered Office at 58, Elliot Road, 2nd Floor, Kolkata – 700016 and at any adjournment thereof.

The Company has engaged the services of National Securities Depository Limited (NSDL) to provide the e-voting facility. The e-voting facility is available at the link <https://www.evoting.nsdl.com>.

The Electronic Voting Particulars are set out below:

EVEN (Electronic Voting Event Number)	USER - ID	PASSWORD
125376		

The E-voting facility will be available during the following voting period:

Remote e-Voting start on	Remote e-Voting end on
15th September, 2023 at 9:00 A.M. (IST)	17th September, 2023 at 5:00 P.M. (IST)

Please read the instructions mentioned in the Notice of the AGM before exercising your vote.

Enclosure: AGM Notice / Attendance Slip / Proxy Form / Annual report

BAID MERCANTILES LTD.

58 Elliot Road, 2nd Floor, Kolkata – 700016

CIN: L70109WB1988PLC044591

Contact No.:8336989140

Website:www.baidmercantiles.com

Email Id: baidmercantiles1988@gmail.com

NOTICE OF ANNUAL GENERAL MEETING

Notice is hereby given that the 35TH Annual General Meeting (AGM) of the members of Baid Mercantiles Limited ("the Company") will be held on Monday, the 18th day of September 2023 at 04.00 P.M. at its Registered Office at 58 Elliot Road, 2nd Floor, Kolkata – 700016 to transact the following business:

A. ORDINARY BUSINESS

1. To receive, consider and adopt the Audited Annual Standalone Balance Sheet as at 31st March 2023, the Statement of Profit and Loss for the year ended on that date and the reports of the Board of Directors and Auditors thereon.
2. To appoint a Director in place of Mr. Binod Kumar Khandelwal (DIN-00710467), who retires by rotation and, being eligible, offers himself for reappointment.

By Order of the Board of Directors of
Baid Mercantiles Limited

Place: Kolkata
Date: 25.08.2023

Jyoti Shaw
Company Secretary
Membership No. -59514

NOTES:

1. Member entitled to attend and vote at the ANNUAL GENERAL MEETING, is ENTITLED TO APPOINT A PROXY TO ATTEND AND VOTE INSTEAD OF HIMSELF/ HERSELF AND THE PROXY NEED NOT BE A MEMBER OF THE COMPANY. Pursuant to the provisions of Section 105 of the Companies Act, 2013, a person can act as a proxy on behalf of member not exceeding fifty (50) and holding in aggregate not more than ten percent of the total Share Capital of the Company. Members holding more than ten percent of the total Share Capital of the Company may appoint a single person as proxy, who shall not act as a proxy for any other Member. The instrument appointing Proxy as per the format included in the Annual Report should be deposited at the Registered Office of the Company, duly completed and sign not less than FORTY-EIGHT HOURS before the commencement of the meeting.
2. Corporate members intending to send their authorized representatives to attend the Meeting are requested to send to the Company a certified copy of the Board Resolution authorizing their representative to attend and vote on their behalf at the Meeting.
3. During the period beginning 24 hours before the time fixed for the commencement of the meeting and ending with the conclusion of the meeting, a member would be entitled to inspect the proxies lodged at any time during the business hours of the Company, provided that not less than three days of notice in writing is given to the Company.

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4. The Register of Members and the Share Transfer Books of the Company will remain closed from 12th day of September, 2023 to 18th day of September, 2023 (both days inclusive).
 5. The Ministry of Corporate Affairs (“MCA”) has taken a “Green Initiative in the Corporate Governance” by allowing paperless compliances by Companies and has issued a circular on April 21, 2011 stating that the service of document by a Company can be made through electronic mode. Electronic copy of the Annual Report for the FY 2022-23 is being sent to all the members whose email id’s are registered with the Company/Depository Participants. Members who have not yet registered their email addresses are requested to register the same with their DPs, in case the shares are held by them in electronic form and with the Company/ Niche Technologies Pvt Ltd., the Registrar and Share Transfer Agent in case the shares are held by them in physical form.
 6. Documents referred to in the accompanying Notice and the statement and other statutory registers are available for inspection by members at the Registered Office of the Company during office hours on all working days except Saturdays, Sundays and Holidays between 11:00 a.m. to 1:00 p.m. up to the date of Annual General Meeting.
 7. Members / proxies are requested to bring their attendance slip along with their copy of Annual Report to the meeting. As a measure of economy, copies of the Annual Report will not be distributed at the meeting. Members, who hold shares in dematerialised form, are requested to bring their Client ID and DP ID numbers for easy identification of attendance at the meeting.
 8. Members holding shares in electronic form are requested to intimate immediately any change in their address or bank mandates to their Depository Participants with whom they are maintaining their demat accounts. Members holding shares in physical form are requested to notify any change in their address or bank mandates immediately to the RTA.
 9. The Securities and Exchange Board of India (SEBI) has mandated the submission of PAN by every participant in the securities market. Members holding shares in electronic form are therefore, requested to submit their PAN to their Depository Participants. Members holding shares in physical form are required to submit their PAN details to the company.
 10. Members holding shares in the same name under different Ledger Folios are requested to apply for consolidation of such Folios and send the relevant share certificates to Niche Technologies Pvt. Ltd. for their doing the needful.
 11. Members are requested to notify change in address, if any, immediately to Niche Technologies Pvt. Ltd. quoting their folio numbers.
 12. The Notice of the 35th AGM and instructions for e-voting, along with the Attendance Slip and Proxy Form, is being sent by electronic mode to all members whose email addresses are registered with the Company / Depository Participant(s) unless a member has requested for a hard copy of the same. Members may also note that the Notice of the 35th AGM and the Annual Report 2023 will be available on the Company’s website, www.baidmercantiles.com. The Notice can also be accessed from the websites

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of the Stock Exchanges where the shares are listed, viz www.cse-india.com. The said Notice is also available on the website of NSDL at www.evoting.nsdl.com.

13. Members seeking any information on the financial accounts, operations or any matter to be placed at the AGM, are requested to write to the Company till 5.00 P.M. (IST) on Saturday, September 16, 2023 through e-mail at baidmercantiles1988@gmail.com and the same will be suitably replied by the Company.
14. Members who have not registered their e-mail addresses so far are requested to register their e-mail address for receiving all communication including Annual Report, Notices, Circulars, etc. from the Company electronically.
15. Additional information, as required under Regulation 36(3) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 in respect of director seeking appointment / reappointment are given hereunder:

A) Name: Mr. Binod Kumar Khandelwal

Date of Birth: 10 January, 1972

Specialised Expertise: He has good knowledge in Banking and Finance

Qualifications: Graduate

Directorship in Other Public Limited Companies apart from this Company as on 31st March, 2023:

Nil

Chairman/Member of the committees in which he is a Director apart from this Company as on 31st March, 2023: Nil

Shareholding in the company: Nil

16. All documents, transfers, dematerialization requests and other communications in relation thereto should be addressed directly to the Company's Registrar and Transfer Agent, Niche Technologies Pvt Ltd, at the address mentioned below:

NICHE TECHNOLOGIES PRIVATE LIMITED

7th Floor, Room No. 7A & 7B,

3A, Auckland Place, Kolkata - 700017

THE INSTRUCTIONS FOR MEMBERS FOR REMOTE E-VOTING AND JOINING GENERAL MEETING ARE AS UNDER:-

The remote e-voting period begins on Friday, 15th Day of September, 2023 at 9:00 A.M. (IST) and ends on Sunday, 17th Day of September, 2023 at 5:00 P.M. (IST). The remote e-voting module shall be disabled by NSDL for voting thereafter. The Members, whose names appear in the Register of Members / Beneficial Owners as on the record date (cut-off date) i.e. 11th Day of September, 2023, may cast their vote electronically. The voting right of shareholders shall be in proportion to their share in the paid-up equity share capital of the Company as on the cut-off date, being 11th Day of September, 2023.

How do I vote electronically using NSDL e-Voting system?

The way to vote electronically on NSDL e-Voting system consists of "Two Steps" which are mentioned below:

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Step 1: Access to NSDL e-Voting system

A) Login method for e-Voting for Individual shareholders holding securities in demat mode

In terms of SEBI circular dated December 9, 2020 on e-Voting facility provided by Listed Companies, Individual shareholders holding securities in demat mode are allowed to vote through their demat account maintained with Depositories and Depository Participants. Shareholders are advised to update their mobile number and email Id in their demat accounts in order to access e-Voting facility.

Login method for Individual shareholders holding securities in demat mode is given below:

Type of shareholders	Login Method
Individual Shareholders holding securities in demat mode with NSDL.	- Existing IDeAS user can visit the e-Services website of NSDL Viz. https://eservices.nsdl.com either on a Personal Computer or on a mobile. On the e-Services home page click on the “Beneficial Owner” icon under “Login” which is available under ‘IDeAS’ section, this will prompt you to enter your existing User ID and Password. After successful authentication, you will be able to see e-Voting services under Value added services. Click on “Access to e-Voting” under e-Voting services and you will be able to see e-Voting page. Click on company name or e-Voting service provider i.e. NSDL and you will be re-directed to e-Voting website of NSDL for casting your vote during the remote e-Voting period If you are not registered for IDeAS e-Services, option to register is available at https://eservices.nsdl.com. Select “Register Online for IDeAS Portal” or click at https://eservices.nsdl.com/SecureWeb/IdeasDirectReg.jsp - Visit the e-Voting website of NSDL. Open web browser by typing the following URL: https://www.evoting.nsdl.com/ either on a Personal Computer or on a mobile. Once the home page of e-Voting system is launched, click on the icon “Login” which is available under ‘Shareholder/Member’ section. A new screen will open. You will have to enter your User ID (i.e. your sixteen digit demat account number hold with NSDL), Password/OTP and a Verification Code as shown on the screen. After successful authentication, you will be redirected to NSDL Depository site wherein you can see e-Voting page. Click on company name or e-Voting service provider i.e. NSDL and you will be redirected to e-Voting website of NSDL for casting your vote during the remote e-Voting period. - Shareholders/Members can also download NSDL Mobile App “NSDL Speede” facility by scanning the QR code mentioned below for seamless voting experience.

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	NSDL Mobile App is available on  App Store  Google Play  
Individual Shareholders holding securities in demat mode with CDSL	1. Users who have opted for CDSL Easi / Easiest facility, can login through their existing user id and password. Option will be made available to reach e-Voting page without any further authentication. The users to login Easi /Easiest are requested to visit CDSL website www.cdslindia.com and click on login icon & New System Myeasi Tab and then user your existing my easi username & password. 2. After successful login the Easi / Easiest user will be able to see the e-Voting option for eligible companies where the evoting is in progress as per the information provided by company. On clicking the evoting option, the user will be able to see e-Voting page of the e-Voting service provider for casting your vote during the remote e-Voting period. Additionally, there is also links provided to access the system of all e-Voting Service Providers, so that the user can visit the e-Voting service providers' website directly. 3. If the user is not registered for Easi/Easiest, option to register is available at CDSL website www.cdslindia.com and click on login & New System Myeasi Tab and then click on registration option. 4. Alternatively, the user can directly access e-Voting page by providing Demat Account Number and PAN No. from a e-Voting link available on www.cdslindia.com home page. The system will authenticate the user by sending OTP on registered Mobile & Email as recorded in the Demat Account. After successful authentication, user will be able to see the e-Voting option where the evoting is in progress and also able to directly access the system of all e-Voting Service Providers.

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Individual Shareholders (holding securities in demat mode) login through their depository participants	You can also login using the login credentials of your demat account through your Depository Participant registered with NSDL/CDSL for e-Voting facility. Upon login, you will be able to see e-Voting option. Once you click on e-Voting option, you will be redirected to NSDL/CDSL Depository site after successful authentication, wherein you can see e-Voting feature. Click on company name or e-Voting service provider i.e. NSDL and you will be redirected to e-Voting website of NSDL for casting your vote during the remote e-Voting period.
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Important note: Members who are unable to retrieve User ID/ Password are advised to use Forget User ID and Forget Password option available at abovementioned website.

Helpdesk for Individual Shareholders holding securities in demat mode for any technical issues related to login through Depository i.e. NSDL and CDSL.

Login type	Helpdesk details
Individual Shareholders holding securities in demat mode with NSDL	Members facing any technical issue in login can contact NSDL helpdesk by sending a request at evoting@nsdl.co.in or call at 022 - 4886 7000 and 022 - 2499 7000
Individual Shareholders holding securities in demat mode with CDSL	Members facing any technical issue in login can contact CDSL helpdesk by sending a request at helpdesk.evoting@cdslindia.com or contact at toll free no. 1800 22 55 33

B) Login Method for e-Voting for shareholders other than Individual shareholders holding securities in demat mode and shareholders holding securities in physical mode.

How to Log-in to NSDL e-Voting website?

1. Visit the e-Voting website of NSDL. Open web browser by typing the following URL: <https://www.evoting.nsdl.com/> either on a Personal Computer or on a mobile.
2. Once the home page of e-Voting system is launched, click on the icon "Login" which is available under 'Shareholder/Member' section.
3. A new screen will open. You will have to enter your User ID, your Password/OTP and a Verification Code as shown on the screen.
Alternatively, if you are registered for NSDL eservices i.e. IDEAS, you can log-in at <https://eservices.nsdl.com/> with your existing IDEAS login. Once you log-in to NSDL eservices after using your log-in credentials, click on e-Voting and you can proceed to Step 2 i.e. Cast your vote electronically.
4. Your User ID details are given below :

Manner of holding shares i.e. Demat	Your User ID is:
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(NSDL or CDSL) or Physical	
a) For Members who hold shares in demat account with NSDL.	8 Character DP ID followed by 8 Digit Client ID For example if your DP ID is IN300*** and Client ID is 12***** then your user ID is IN300***12*****.
b) For Members who hold shares in demat account with CDSL.	16 Digit Beneficiary ID For example if your Beneficiary ID is 12***** then your user ID is 12*****.
c) For Members holding shares in Physical Form.	EVEN Number followed by Folio Number registered with the company For example if folio number is 001*** and EVEN is 101456 then user ID is 101456001***

5. Password details for shareholders other than Individual shareholders are given below:
 - a) If you are already registered for e-Voting, then you can use your existing password to login and cast your vote.
 - b) If you are using NSDL e-Voting system for the first time, you will need to retrieve the 'initial password' which was communicated to you. Once you retrieve your 'initial password', you need to enter the 'initial password' and the system will force you to change your password.
 - c) How to retrieve your 'initial password'?
 - (i) If your email ID is registered in your demat account or with the company, your 'initial password' is communicated to you on your email-ID. Trace the email sent to you from NSDL from your mailbox. Open the email and open the attachment i.e. a .pdf file. Open the .pdf file. The password to open the .pdf file is your 8 digit client ID for NSDL account, last 8 digits of client ID for CDSL account or folio number for shares held in physical form. The .pdf file contains your 'User ID' and your 'initial password'.
 - (ii) If your email ID is not registered, please follow steps mentioned below in **process for those shareholders whose email ids are not registered.**
6. If you are unable to retrieve or have not received the "Initial password" or have forgotten your password:
 - a) Click on "**Forgot User Details/Password?**" (If you are holding shares in your demat account with NSDL or CDSL) option available on www.evoting.nsdl.com.
 - b) "**Physical User Reset Password?**" (If you are holding shares in physical mode) option available on www.evoting.nsdl.com.
 - c) If you are still unable to get the password by aforesaid two options, you can send a request at evoting@nsdl.co.in mentioning your demat account number/folio number, your PAN, your name and your registered address etc.
 - d) Members can also use the OTP (One Time Password) based login for casting the votes on the e-Voting system of NSDL.
7. After entering your password, tick on Agree to "Terms and Conditions" by selecting on the check box.
8. Now, you will have to click on "Login" button.
9. After you click on the "Login" button, Home page of e-Voting will open.

Step 2: Cast your vote electronically on NSDL e-Voting system.

How to cast your vote electronically on NSDL e-Voting system?

1. After successful login at Step 1, you will be able to see all the companies "EVEN" in which you are holding shares and whose voting cycle and General Meeting is in active status.

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2. Select “EVEN” of company for which you wish to cast your vote during the remote e-Voting period.
3. Now you are ready for e-Voting as the Voting page opens.
4. Cast your vote by selecting appropriate options i.e. assent or dissent, verify/modify the number of shares for which you wish to cast your vote and click on “Submit” and also “Confirm” when prompted.
5. Upon confirmation, the message “Vote cast successfully” will be displayed.
6. You can also take the printout of the votes cast by you by clicking on the print option on the confirmation page.
7. Once you confirm your vote on the resolution, you will not be allowed to modify your vote.

General Guidelines for shareholders

1. Institutional shareholders (i.e. other than individuals, HUF, NRI etc.) are required to send scanned copy (PDF/JPEG Format) of the relevant Board Resolution/ Authority letter etc. with attested specimen signature of the duly authorized signatory(ies) who are authorized to vote, to the Scrutinizer by e-mail to patnibl@yahoo.com with a copy marked to evoting@nsdl.co.in. Institutional shareholders (i.e. other than individuals, HUF, NRI etc.) can also upload their Board Resolution / Power of Attorney / Authority Letter etc. by clicking on "**Upload Board Resolution / Authority Letter**" displayed under "**e-Voting**" tab in their login.
2. It is strongly recommended not to share your password with any other person and take utmost care to keep your password confidential. Login to the e-voting website will be disabled upon five unsuccessful attempts to key in the correct password. In such an event, you will need to go through the "[Forgot User Details/Password?](#)" or "[Physical User Reset Password?](#)" option available on www.evoting.nsdl.com to reset the password.
3. In case of any queries, you may refer the Frequently Asked Questions (FAQs) for Shareholders and e-voting user manual for Shareholders available at the download section of www.evoting.nsdl.com or call on : 022 - 4886 7000 and 022 - 2499 7000 or send a request to Ms. Pallavi Mhatre, Senior Manager, NSDL at evoting@nsdl.co.in

Process for those shareholders whose email-ids are not registered with the depositories for procuring user id and password and registration of email-ids for e-voting for the resolutions set out in this notice:

1. In case shares are held in physical mode please provide Folio No., Name of shareholder, scanned copy of the share certificate (front and back), PAN (self attested scanned copy of PAN card), AADHAR (self attested scanned copy of Aadhar Card) by email to baidmercantiles1988@gmail.com.
2. In case shares are held in demat mode, please provide DPID-CLID (16 digit DPID + CLID or 16 digit beneficiary ID), Name, client master or copy of Consolidated Account statement, PAN (self attested scanned copy of PAN card), AADHAR (self attested scanned copy of Aadhar Card) to baidmercantiles1988@gmail.com. If you are an Individual shareholder holding securities in demat mode, you are requested to refer to the login method explained at **step 1 (A) i.e. Login method for e-Voting for Individual shareholders holding securities in demat mode.**

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3. Alternatively shareholder/members may send a request to evoting@nsdl.co.in for procuring user id and password for e-voting by providing above mentioned documents.
4. In terms of SEBI circular dated December 9, 2020 on e-Voting facility provided by Listed Companies, Individual shareholders holding securities in demat mode are allowed to vote through their demat account maintained with Depositories and Depository Participants. Shareholders are required to update their mobile number and email-ID correctly in their demat account in order to access e-Voting facility.

THE INSTRUCTIONS FOR MEMBERS FOR e-VOTING ON THE DAY OF THE AGM ARE AS UNDER:-

1. The procedure for e-Voting on the day of the AGM is same as the instructions mentioned above for remote e-voting.
2. Only those Members/ shareholders, who will be present in the AGM and have not casted their vote on the Resolutions through remote e-Voting and are otherwise not barred from doing so, shall be eligible to vote through e-Voting system in the AGM.
3. Members who have voted through Remote e-Voting will be eligible to attend the AGM. However, they will not be eligible to vote at the AGM.
4. The details of the person who may be contacted for any grievances connected with the facility for e-Voting on the day of the AGM shall be the same person mentioned for Remote e-voting.

By Order of the Board of Directors of
Baid Mercantiles Limited

Place: Kolkata
Date: 25.08.2023

Jyoti Shaw
Company Secretary
Membership No. – 59514

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Form MGT – 11

PROXY FORM

[Pursuant to section 105(6) of the Companies Act, 2013 and Rule 19(3) of the Companies (Management and Administration) Rules, 2014]

CIN : **L70109WB1988PLC044591**
Name of the Company : **BAID MERCANTILES LTD**
REGISTERED OFFICE : **58, ELLIOT ROAD, 2ND FLOOR, KOLKATA – 700016**

Name of the Member (s).....

Registered Address

.....

Email Id:

Folio No.:

I/We being the member (s) ofshares of the above named Company, hereby appoint.

1. Name:

Address:

Email ID:

Signature:

Or Failing him/her,

2. Name:

Address:

Email ID:

Signature:

Or Failing him/her,

3. Name:

Address:

Email ID:

Signature:

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As my/our proxy to attend and vote (on a pole) for me/us and on my/our behalf at the Annual General Meeting of the Company, to be held on Monday, September 18, 2023 at 58, Elliot Road, 2nd Floor, Kolkata - 700016 and at any adjournment thereof in respect of such resolutions as are indicated below:

Resolution No.	Resolution	Vote	
		For	Against
ORDINARY RESOLUTION			
1.	To receive, consider and adopt the Audited Standalone Balance Sheet as at 31 st March 2023, the Statement of Profit and Loss for the year ended on that date and the reports of the Board of Directors and Auditors thereon.		
2.	To appoint a Director in place of Mr. Binod Kumar Khandelwal (DIN-00710467), who retires by rotation and, being eligible, offers himself for reappointment.		

Signed this Day of 2023

Signature of the Shareholder:

Signature of 1st Proxy holder (s):

Signature of 2nd Proxy holder (s):

Signature of 3rd Proxy holder (s):

Affix
Revenue
Stamp

NOTE: This form of proxy in order to be effective should be duly completed and deposited at the Registered Office of the Company, at Baid Mercantiles Limited, 58, Elliot Road, 2ND Floor, Kolkata – 700016, not less than 48 hours before the commencement of the meeting.

Notes:

1) This form of proxy in order to be effective should be duly completed and deposited at the Registered Office of the Company, not less than 48 hours before the commencement of the Meeting.

2) A proxy need not be a member of the Company and shall prove his identity at the time of attending the Meeting. 3) A person can act as a proxy on behalf of members not exceeding fifty and holding in the aggregate not more than 10% of the total share capital of the Company carrying voting rights. A member holding more

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than 10% of the total share capital of the Company carrying voting rights may appoint a single person as proxy and such person shall not act as a proxy for any other person or Member.

4) This is only optional. Please put a 'I' in the appropriate column against the resolutions indicated in the Box. If you leave the 'For' or 'Against' column blank against any or all the resolutions, your proxy will be entitled to vote (on poll) at the Meeting in the manner he/she thinks appropriate.

5) Appointing a proxy does not prevent a member from attending the Meeting in person if he / she so wishes. When a member appoints a proxy and both the Member and proxy attend the Meeting, the proxy will stand automatically revoked.

6) In the case of joint holders, the signature of any one holder will be sufficient, but names of all the joint holders should be stated.

7) This form of proxy shall be signed by the appointer or his attorney duly authorised in writing, or if the appointer is a body corporate, be under its seal or be signed by an officer or an attorney duly authorised by it.

8) This form of proxy will be valid only if it is duly completed in all respects, properly stamped and submitted as per the applicable law. Incomplete form or form which remains unstamped or inadequately stamped or form upon which the stamps have not been cancelled will be treated as invalid.

9) Undated proxy form will not be considered valid.

10) If Company receives multiple proxies for the same holdings of a member, the proxy which is dated last will be considered valid; if they are not dated or bear the same date without specific mention of time, all such multiple proxies will be treated as invalid.

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Email Id: baidmercantiles1988@gmail.com

Dear Shareholder(s),

Sub: Service of Documents through Electronic Mode

Your Company is making an effort to build a greener world and we request your support. You are requested to subscribe to a soft copy of the Company's various documents like Notices of Meetings, Annual Reports and other shareholder communication by registering your email id with your Depository Participant (DP)/Company, if you have not already done so. You are also requested to keep your DP/Company informed of any change in your email id. With this one small action, you could leave a greener legacy for future generations. We look forward to your support.

Thanking you,

Yours sincerely

For BAID MERCANTILES LIMITED

JYOTI SHAW
COMPANY SECRETARY

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ATTENDANCE SLIP

Shareholders attending the Meeting in person or by Proxy are requested to complete the attendance slip and hand it over at the entrance of the meeting hall.

DPID* :	FOLIO NO. :
CLIENT ID. * :	NO. OF SHARES HELD :

I/We hereby record my/our presence at 35th Annual General Meeting of the Company held at 58, Elliot Road, 2ND Floor, Kolkata – 700016 at 04:00 P.M. on Monday, the 18TH Day of September, 2023.

NAME(S) OF THE MEMBER(S)	
SIGNATURE OF THE MEMBER(S)	

Full Name of proxy (Block Letters)

Members / proxy's Signature

NOTE: Shareholder/Proxyholder desiring to attend the meeting should bring his copy of the Annual Report for reference at the meeting.

BAID MERCANTILES LTD.

58 Elliot Road, 2nd Floor, Kolkata – 700016

CIN: L70109WB1988PLC044591

Contact No.:8336989140

Website: www.baidmercantiles.com

Email Id: baidmercantiles1988@gmail.com

ROUTE MAP FOR THE VENUE OF THE ANNUAL GENERAL MEETING

